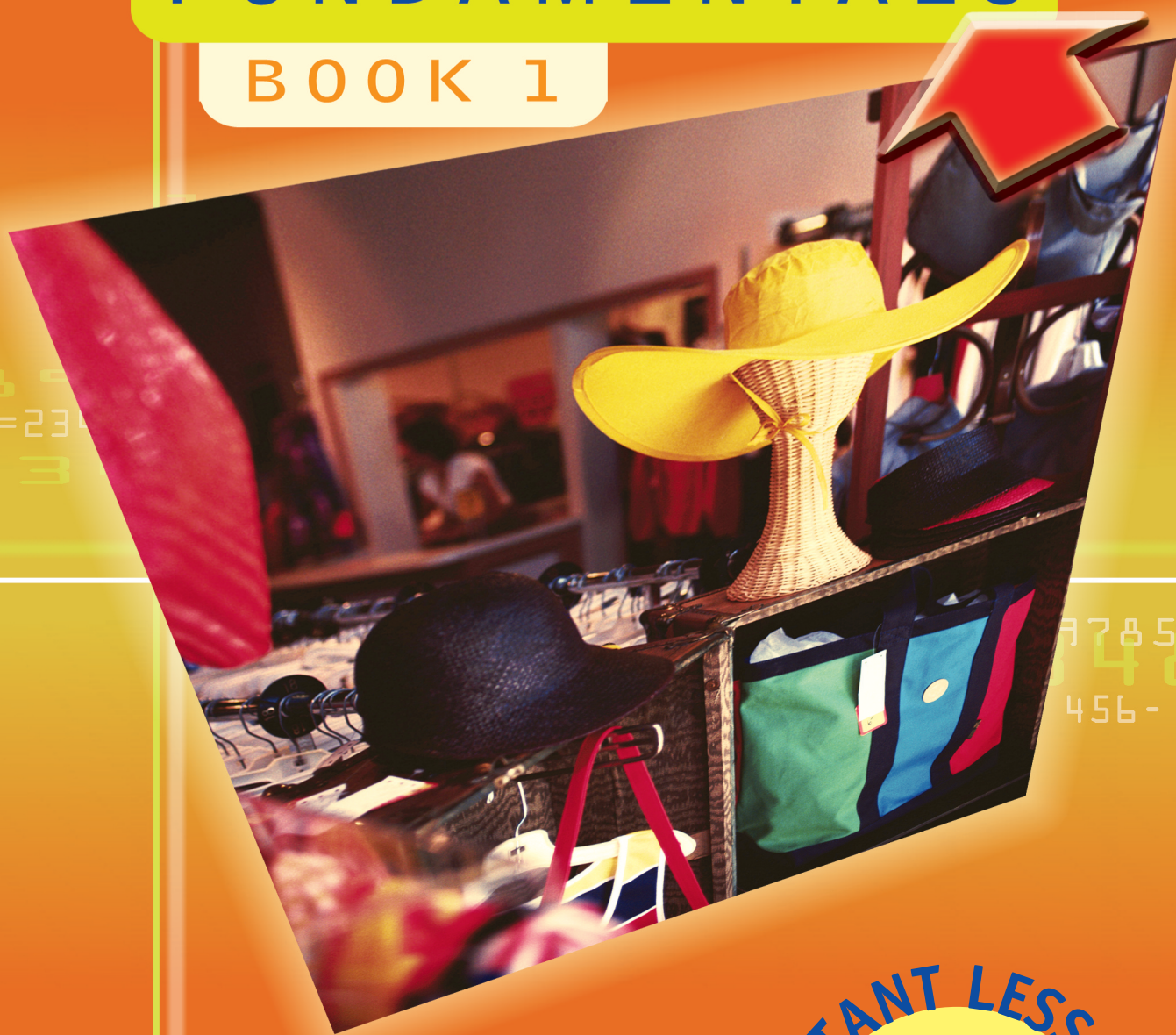


ACCOUNTING

FUNDAMENTALS

BOOK 1



Quality ready-to-use
resources

ACCOUNTING

FUNDAMENTALS

BOOK 1



Suzanne Collings



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Introduction

Instant Lessons in Accounting Book 1 is part of a three-book series that provides self-contained practical worksheets for senior students on the fundamentals of accounting. The content of the whole series is wide ranging and will suit various state syllabuses as well as college courses.

There is a range of activity styles to challenge student understanding, including completion of practical exercises, word matching, graph creation, crosswords, and testing of accounting knowledge.

Most of the worksheets provide space for students to answer directly on them; others require students to use their workbook or a separate sheet. Selected answers are provided to assist in marking.

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1 INCOME (REVENUE) and CASH RECEIPTS

Terms you should know

Accounting equation – expresses the relationship between the amounts owned by the business and the amounts owed by the business. Usually expressed as $A = L + P$ or $A = L + OE$ (owner's equity).

Cash receipts – cash inflows of the business

Entity assumption – the affairs of the business and the affairs of the owner must be kept separate

Goods and services tax (GST) – a value added tax which must be added to the selling price to get the price which must be paid by the customer. Currently GST is 10%

Income – revenue derived from the trading operations of a business

Revenue – income earned from the operations of the business

- 1 In your own words, explain what you understand by the term income (revenue).

- 2 What effect does income have on the accounting equation?

- 3 Which of the following can be included as income for a business?

☐	Capital contribution by the owner	☐	Interest received on a bank account
☐	Provision of services for cash	☐	Loans borrowed from a bank
☐	Sale of a non current asset for cash	☐	Sale of goods for cash

- 4 Explain the difference between cash receipts and income

- 5 Calculate the income for the month of February for Mark's Electrical Wholesalers.

Product	Selling price	No. sold	Income
Electric kettle	\$90	50	
Electric toothbrush	\$60	43	
Food wand	\$150	29	
Total income			

- 6 There are two elements in revenue – the price of the item and the number of items sold. Discuss two ways in which revenue can be increased, including the disadvantages of each method.

1

2

7 R Hobbs has assets \$30 000 and liabilities \$10 000. Restate the accounting equation after each of the following transactions (the first one is completed as an example).

- A The business borrows \$5 000 from the bank
- B Hobbs provides services for cash \$1 000
- C Hobbs contributes \$2 000 cash to the business
- D The business sold office equipment (valued at \$1 400) for \$1 600
- E Hobbs sells stock for \$2 000 cash (cost of goods sold \$1 200)

	Assets \$30 000	Liabilities \$10 000	Owner's equity \$20 000
A	35 000	15 000	20 000
B			
C			
D			
E			

Goods and Services Tax is added to the cost of most goods and services sold in Australia. The rate is 10%. This must be added to the selling price to get the price paid by the customer. Labels on goods must include the GST in the price quoted. To find the amount which is received by the seller, divide the price shown by 11.

8 Calculate the price that will be paid by the customer on each of the items below.

Line	Cost price	Mark-up	Vendor's selling price	GST	Price shown on price tag
A	\$140	100%			
B	\$67	150%			
C	\$155	180%			
D	\$34	200%			

1 Income (revenue) and cash receipts (cont)

9 Calculate the cost price (paid by the seller to the supplier) of each of the items below.

Line	Price shown on price tag	GST	Vendor's selling price	Mark-up	Cost price
E	\$220			100%	
F	\$75			150%	
G	\$130			200%	

10 Unscramble the terms.

HSCA EETRIPCS	Inflows into the bank account	
NMIOEC	Earnings from trading operations	
OCNIGTUCN NUAQETOI	Relationship between amounts owned by the business and amounts owed by the business	
YNITET SUTAOIMSPN	Affairs of the owner should not be mixed with the affairs of the business	
NEEEURV	Received from sale of goods or provision of services	
LIGSNLE REPCI	Customers pay plus tax	
NTTYIE	Organisational unit	
TOCS IRCEP	Paid to supplier, plus tax	

10 Distinguish between a service business and a trading business.

11 Distinguish between fees earned and sales revenue.



2 EXPENSES and CASH PAYMENTS

Terms you should know

Accounting equation – expresses the relationship between the amounts owned by the business and the amounts owed by the business. Usually expressed as $A = L + P$ or $A = L + OE$ (owner's equity)

Cash payments – cash outflows of the business

Depreciation – the allocation of the cost of a non current asset over its effective working life

Drawings – amounts of cash or other assets withdrawn from the business by the owner

Expenses – costs incurred in the process of earning revenue

Non cash expenses – expenses such as depreciation or bad debts for which no cash is paid out

- 1** In your own words, explain what you understand by the term 'expense'.
- 5** Explain the difference between an expense and a cash payment.

- 2** Explain the difference between an expense and an asset.
- 6** Explain what you understand by the term 'non-cash expense'. Give two examples of a non-cash expense.

- 3** What effect does an expense have on the accounting equation?
- ---

- 4** Which of the following is an expense?
- 7** Calculate the total expenses for the month:

☐	Repayment of loan to bank	☐	Payment of electricity bill for business
☐	Payment of interest on loan	☐	Purchase of equipment for cash
☐	Owner draws cash for own use	☐	Purchase of materials for use in business
☐	Payment of the electricity bill at the owner's house	☐	Purchase of motor vehicle for the business

Motor expenses	320
Advertising	1 400
School fees	750
Depreciation	310
Supplies	240
Repayment of loan	1 000
Rent	2 000
Drawings	900
Interest	450
Total expenses	

- 8** Should the owner of a business always be concerned if the expenses are increasing?

- 9** M Savage has assets \$40 000 and liabilities \$18 000. Show the effect of the following transactions on the accounting equation.

- A Purchase of supplies for use in the business \$500 cash
 B Owner draws cash for own use \$700
 C Payment of advertising \$2 000
 D Purchase of equipment \$4 000 cash
 E Payment off loan \$3 500

	Assets \$40 000	Liabilities \$18 000	Owner's equity \$?
A			
B			
C			
D			
E			

- 10** For trading businesses, cost of goods sold is probably the major expense. Explain what you understand by the term, and what items would be included in cost of goods sold.

- 11** Match the terms in the first column with the definitions in the last column.

Cash payments	A	Costs incurred for which no cash is paid in this period (or at all)
Expenses	B	Income earned from the business activities
Drawings	C	Expenses of getting the goods to the point and condition for sale
Non cash expenses	D	Allocation of the cost of a non current asset over its effective working life
Depreciation	E	Outflows of from the bank account
Revenue	F	Withdrawals by the owner for personal use
Cost of goods sold	G	Costs incurred while earning income

- 12** From the list below, show which items would only be included in the calculation of profit, which would only be included in the cash flow and those that would be included in both.

Transaction	Profit calculation	Cash flow
Drawings of cash by the owner		
Payment of petrol account		
Depreciation of motor vehicle		
Cost of goods sold		
Purchase of trading stock for cash		
Purchase of asset for cash		
Repayment of loan		
Payment of interest on loan		



3 Credit Transactions

Terms you should know

Bad debt – an amount that will not be received from a credit customer

Cash flow –

Credit –

Creditor – supplier of the goods or services that have been purchased on credit

Debtor – customer who has purchased goods or services on credit

Discount allowed – an inducement to a debtor to get them to pay their account quickly

Discount received – offered by the creditor as an inducement to pay the account quickly

Please provide definitions for cash flow and credit

- 1** Explain the effect of credit sales on the accounting equation.

- 2** Explain the effect of credit purchases on the accounting equation.

- 3** From the list below, select those that might explain why a business would offer credit.

Increase the range of products offered	To compete with similar firms
Improve cash flow	Increase sales
For the convenience of customers	Increase the mark up on cost price

- 4** What are the costs to the business of offering credit?

- 5** In the table below and at the top of the next column list the advantages and disadvantages for a business of offering in-house credit as compared with using credit card facilities.

Advantages	
In-house credit	Credit card facilities

Disadvantages

In-house credit	Credit card facilities

- 6** Find the missing figures below.

Debtors at 1 July 2004	\$48 000
Debtors at 30 June 2005	\$56 000
Cash collected from debtors in year	\$465 000
Credit sales for year	?

Creditors at 1 July 2004	\$36 000
Creditors at 30 June 2005	\$33 000
Cash paid to creditors in year	\$245 000
Credit purchases for year	?

Debtors at 1 July 2004	\$7 000
Credit sales for year	\$89 000
Cash collected from debtors in year	\$83 000
Debtors at 30 June 2005	?

Creditors at 1 July 2004	\$64 000
Credit purchases for year	\$178 000
Cash paid to creditors in year	\$183 000
Creditors at 30 June 2005	?

Debtors at 1 July 2004	\$135 000
Debtors at 30 June 2005	\$129 000
Credit sales for year	\$760 000
Cash collected from debtors in year	?

Creditors at 1 July 2004	\$82 000
Creditors at 30 June 2005	\$87 000
Credit purchases for year	\$392 000
Cash paid to creditors in year	?

- 7** Bob Marley, owner of Record Productions, has trouble with slow paying debtors. His cash cycle is very slow and he has trouble paying his creditors. List 5 steps Bob could take to speed up debtors collection.

1 _____

2 _____

3 _____

4 _____

5 _____

- 8** As Bob has cash flow problems, explain to him why it is not a good idea to solve this by ceasing payments to creditors. Write your answer in the next column. ➤

- 9** Read the statements below and decide if they are true or false.

Collection of the amounts owing from debtors will increase assets	
Credit sales will immediately increase assets	
Payments to creditors will decrease the working capital	
Discount allowed to customers will decrease the profit	
Credit sales \$100 000; Cost of goods sold \$75 000. This will have the effect of increasing assets \$25 000 and increasing equity \$25 000.	

- 10** One of the major problems associated with credit transactions is that the receipt of cash by the business is delayed. In the example below, calculate when the cash will be received from the sales made in each month. Experience has shown that 65% of debtors pay in the month following sales, 25% in the second month, and 10% in the third month. At 30 June, what will be the amount of the debtors still owing?

Month	Cash sales	Credit sales	April	May	June
January	26 000	97 500			
February	25 000	98 000			
March	26 500	99 700			
April	24 800	95 900			
May	23 700	94 300			
June	24 300	95 200			
Total cash receipts					

- 11** M Smith is a debtor of Record Productions, owing \$4 500. Record Productions have been notified that M Smith has been declared bankrupt. Creditors will receive 35c in the \$. Calculate how much Record Productions will receive and how much will be the amount of the bad debt.

Cash to be received	Bad debt

- 12** Explain why the amount shown for debtors on the balance sheet (statement of financial position) may not always be the amount actually received in cash from debtors.

4 Recording for Credit Transactions

Terms you should know

Accounts payable – amounts owing by credit customers

Accounts receivable – amounts owing to credit suppliers

Creditors – suppliers of the goods or services that have been purchased on credit

Debtors – customers who have purchased goods or services on credit

Debtors schedule – list of amounts owed by the debtors (accounts receivable)

Discount allowed – an inducement to a debtor to get them to pay their account quickly

Discount received – offered by the creditor as an inducement to pay the account quickly

Purchases returns – stock returned to the supplier

Sales returns – stock returned to the business by customers

1 Fill in the blanks in the debtor and creditor record cards below.

M Green, Debtor

Date	Details	Cr Sales	Returns in	Cash rec	Disc all.	Balance
1/3/05	Balance					4 620
2/3/05	Receipt 37			4 500	?	0
9/3/05	Invoice 41267	6 035				?
10/3/05	Cr note 381		?			5 700
19/3/05	Invoice 41272	?				11 400
25/3/05	Cr note 390		120			?
30/3/05	Receipt 47			?	250	4 000

Timbuctoo Productions, Creditor

Date	Details	Cr Purch	Returns out	Cash paid	Disc rec.	Balance
1/3/05	Balance					5 880
3/3/05	Chq 4021			?	210	2 000
12/3/05	Invoice 3248	?				7 150
13/3/05	Cr note 1076		420			?
16/3/05	Invoice 3310	8 500				?
18/3/05	Cr note 1031		?			14 780
30/3/05	Chq 4406			6 000	?	8 600

2 Calculate the following, for the month of March, from the records above.

Net sales		Net purchases	
Collections		Payments to	
from debtors		creditors	
Returns In		Returns out	
Discount allowed		Discount received	

3 Calculate the missing figures from the information below.

Debtors at 1 July 2004	45 000
Credit sales 1/7/04-30/6/05	380 000
Returns in 1/7/04-30/6/05	2 500
Cash received from debtors in year	376 000
Discount allowed 1/7/04-30/6/05	1 260
Debtors 30/6/05	?

Creditors at 1 July 2004	63 000
Credit purchases 1/7/04-30/6/05	178 000
Returns out 1/7/04-30/6/05	1 600
Cash paid to creditors 1/7/04-30/6/05	210 000
Discount received 1/7/04-30/6/05	1 300
Creditors 30/6/05	?

Debtors at 1 July 2004	76 000
Credit sales 1/7/04-30/6/05	870 000
Returns in 1/7/04-30/6/05	5 750
Cash received from debtors in year	?
Discount allowed 1/7/04-30/6/05	3 900
Debtors 30/6/05	74 000

Creditors at 1 July 2004	72 000
Credit purchases 1/7/04-30/6/05	540 000
Returns out 1/7/04-30/6/05	4 850
Cash paid to creditors 1/7/04-30/6/05	?
Discount received 1/7/04-30/6/05	2 200
Creditors 30/6/05	77 000

4 At the beginning, the business had cash in the bank of \$20 000, debtors of \$20 000 and creditors of \$25 000.

Show the accounting equation after each of the following transactions:

- A** Performed services on credit \$4 000
- B** Bought supplies for use during provision of services \$700
- C** Collected \$3 500 from debtors
- D** Paid creditors \$6 800
- E** Bought stock on credit for re-sale \$20 000
- F** Sold \$5 000 stock to debtor for \$8 000 ↗

	Assets	Liabilities	Proprietorship
	Cash \$20 000 Debtors \$20 000	Creditors \$25 000	Capital \$15 000
A			
B			
C			
D			
E			
F			

5 Prepare record cards for debtors (Balance 1 May - Tonkin \$5 400, Broughton \$9 230) and creditors (Balance 1 May - XYZ Trading \$8 400, ABC Manufacturing \$11 400) and record the following transactions on them.

May 1	Paid ABC Trading \$5 000 on account	Chq 344
2	Bought goods on credit \$2 300 from XYZ Manufacturing	Inv 3609
3	Broughton paid \$7 000 less 2% discount	Rec 222
4	Bought goods \$3 800 from ABC Trading on credit	Inv 11096
5	Returned goods to XYZ Trading \$340	Cr Note 229
7	Paid XYZ Trading \$8 500	Chq 389
8	Tonkin bought goods \$3 870 on credit	Inv 12146
9	Tonkin returned goods \$470	Cr note 512
12	Broughton bought goods on credit \$1 800	Inv 12147
14	Paid ABC Manufacturing \$3 500 less 3% discount	Chq 423

6 Prepare a debtor schedule and a creditor schedule at 14 May.



5 Cash Receipts and Payments Journals

Terms you should know

Cash payments

Cash receipts

Discount allowed – an inducement to a debtor to get them to pay their account quickly

Discount received – offered by the creditor as an inducement to pay the account quickly

The 3 transaction sets used in all questions are on the next page.

- 1** Prepare cash receipts and cash payments journals for Handy Husband and enter the transactions below. Total the journals at March 31, 2005.

Headings for columns in cash receipts:

Date, Details, Rec no, Cash fees, Sundries, Total

Headings for columns in cash payments:

Date, Details, Chq no, Supplies, Petrol, Rent, Sundries, Total

- 2** Prepare a statement of receipts and payments (cash flow statement) at March 31, 2005.

- 3** Prepare cash receipts and cash payments journals for See Thru Window Cleaning and enter the transactions below. Total the journals at April 30 2005. (Note – if GST is not part of your Accounting course, it can be omitted).

Headings for columns in cash receipts:

Date, Details, Rec No, Cash fees, GST, Sundries, Total

Headings for columns in cash payments:

Date, Details, Chq No, Supplies, Petrol, Rent, Sundries, GST, Total

- 4** Prepare a statement of receipts and payments (cash flow statement) at April 30, 2005. The bank balance at 1 April was \$(4 270).

- 5** How much is owed to (or owing from) the Australian Taxation Office at April 30, 2005?

- 6** Prepare cash receipts and cash payments journals for Select Trading and enter the transactions below. Total the journals at May 31, 2005. (Note – if GST and discounts are not part of your Accounting course, they can be omitted).

Headings for columns in cash receipts:

Date, Details, Rec no, Cash sales, GST, Debtors, Discount allowed, Sundries, Total

Headings for columns in cash payments:

Date, Details, Chq no, Creditors, Discount received, Wages, Petrol, Rent, Sundries, GST, Total

- 7** Prepare a statement of receipts and payments (cash flow statement) at May 31 2005. The bank balance at 1 May was \$17 261.
- 8** Explain the purpose of offering discount to customers.

- 9** Should the business always take advantage of discounts offered by suppliers? Explain.

Date	Handy Husband transaction	Doc no	Date	Handy Husband (contin.)	Doc no
Mar 1	Bob Hand contributed \$30 000 cash to start bank account of business		16	Paid electricity account to Yarra Power \$310	Chq 006
2	Paid rent of yard to Melton Real Estate \$2 000	Chq 001	18	Bought supplies of timber from Melton Hardware \$750	Chq 007
	Bought supplies of screws, nails, small tools \$3 150 from Melton Hardware	Chq 002	20	Paid for petrol for travelling to jobs Corner Service Station \$330	Chq 008
3	Paid for advertising in Melton Express newspaper \$1 500	Chq 003	24	Banked fees from jobs \$660	Rec 18
4	Banked fees from jobs \$780	Rec 1–10	25	Paid for advertising leaflets – Fast Print \$770	Chq 009
5	Drew cash for own use \$1 000	Chq 004	26	Bought supplies for jobs \$120 Melton Hardware	Chq 010
6	Paid 1 month's lease of motor vehicle \$600	Chq 005	28	Bought stationery \$220 from Office Works	Chq 011
10	Banked fees from jobs \$2 780	Rec 11–17	31	Paid rent for April \$2 000 to Melton Real Estate	Chq 012
Date	See Thru Window Cleaning transaction	Doc no	Date	See Thru Window Cleaning transaction	Doc no
Apr 1	Bought detergent and mops for window cleaning from Saferight Supermarket \$70 (plus \$7 GST)	Chq 446	18	Paid insurance to Norfolk General \$1 350 (plus \$135 GST)	Chq 450
2	Banked fees for window cleaning \$460 (plus \$46 GST)	Rec 120–124	22	Banked fees for window cleaning \$890 (plus \$89 GST)	Rec 132 – 145
6	Paid rent of office to Burne Real Estate for April \$2 400 (plus \$240 GST)	Chq 447	24	Paid \$1 400 to Patterson Ads for advertising (plus \$140 GST)	Chq 451
9	Paid petrol account at Mobil \$370 (plus \$37 GST)	Chq 448	27	Paid \$680 to Telstra for telephone and mobile account (plus \$68 GST)	Chq 452
12	Bought supplies of mops and cleaning clothe from Saferight Supermarket \$95 (plus \$9.50 GST)	Chq 449	28	Paid \$390 to Mobil for petrol (plus \$39 GST)	Chq 453
15	Banked fees for window cleaning \$1 770 (plus \$177 GST)	Rec 125 – 131	30	Paid \$2 400 to Burne Real Estate for rent of office – May (plus \$24 GST)	Chq 454
Date	Select Trading transaction	Doc No	Date	Select Trading transaction	Doc no
May 1	Paid rent of office for May \$3 000 (plus \$300 GST) to Alex Nelson Real Estate	Chq 777	16	Banked cash takings \$4 400 (plus \$440 GST)	Rec 997
3	Paid \$2 600 (plus \$260 GST) for advertising to Cinema Ads	Chq 778	18	Paid \$160 (plus \$16 GST) for staff morning tea supplies	Chq 784
4	Paid electricity account to City Power \$660 (plus \$66 GST)	Chq 779	20	Paid creditor Olivier Pty Ltd amount owing \$6 700 and was allowed 3% discount	Chq 785
5	Banked \$8 900 collected from G Saunders (who had been allowed \$100 discount for early payment)	Rec 995	21	Collected amount owing from debtor Richards \$5 800 and allowed 2% discount	Rec 998
6	Paid \$440 (plus \$44 GST) to Ampol Corner Garage for petrol	Chq 780	24	Paid \$500 (plus \$50 GST) to Fast Print for advertising leaflets	Chq 786
12	Paid wages to employees for 2 weeks \$2 800	Chq 781	25	Owner, B Select, drew \$1 000 for own use	Chq 787
	Owner, B Select, drew \$800 for own use	Chq 782	26	Banked cash takings \$1 200 (plus \$120 GST)	Rec 999
13	Paid creditor Marchmont Ltd - amount owing \$14 000, claiming 3% discount for early payment	Chq 783	28	Paid rent for June \$3 000 (plus \$300 GST) to Alex Nelson Real Estate	Chq 788
14	Banked cash takings \$2 000 (plus \$200 GST)	Rec 996	31	Paid wages to employees for 2 weeks \$2 800	Chq 789

6 Reporting for Service Businesses

Terms you should know

Asset – item of financial value owned or controlled by the business that has future benefits for the business

Balance sheet (Statement of financial position) – a statement reporting all of the assets and liabilities of an entity and showing the owner's equity (proprietorship)

Liabilities – amounts owed by a business

Net profit – sales revenue less all expenses incurred in earning that revenue. Net Profit increases owner's equity.

Profit and loss statement (Statement of financial performance) – a statement reporting all of the revenues and expenses of an entity in an accounting period

Proprietorship (Owner's Equity) –

Statement of financial performance – see Profit and loss statement

Statement of financial position – see Balance sheet

1 Fill in the blanks (marked by ?) in the statements below.

Statement of For ? ended 30 June 2005			? at 30 June 2005		
Revenue			?		
?		?	Bank	6 600	
Less ?			Debtors	?	28 000
Advertising	35 000		?		
Electricity	4 200		Motor vehicles	58 000	
Motor expenses	?		Less ?	?	?
Printing and copying	3 700				81 000
Postage	7 400		?		
Rent	20 000		Creditors	?	
Telephone	5 800		?		
Wages	135 000	233 000	Loan – Venture Bank	40 000	?
?		\$14 500			\$31 000
			?		
			Capital	?	
			Plus ?	?	?
			Less ?		12 000
					?

2 List 5 factors that can cause the owner's equity to change during an accounting period.

1

2

3

4

5

- 3** Using the information below, prepare a statement of profit and loss (statement of financial performance) for year ended 30 June 2005 and a balance sheet (statement of financial position) at 30 June 2005 for Anthony Hollonds, Computer Consultant.

Bank	\$4 300	Loan – Endeavour Bank (due 5 years)	\$15 000
Advertising	\$33 000	Telephone	\$2 780
Motor vehicle	\$41 000	Capital at 1 July 2004	\$15 910
Depreciation	\$6 000	Travel and accommodation	\$7 130
Postage and stationery	\$7 500	Drawings	\$24 000
Wages	\$56 000	Fees earned	\$160 000
Accumulated depreciation of motor vehicle	\$13 000	Office expenses	\$10 200
Rent	\$12 000		

- 4** Using the information below, prepare a statement of profit and loss (statement of financial performance) for year ended 30 June 2005 and a balance sheet (statement of financial position) at 30 June 2005 for Garden Hose Equipment. There were no prepaid or unpaid accounts for expenses at either the beginning or the end of the accounting period.

Bankbalance at 1 July 2004	\$(8 900)	Delivery van	\$37 000
Cash sales	\$44 000	Depreciation	\$7 400
Credit sales	\$370 000	General expenses	\$44 500
Collections from debtors	\$361 000	Drawings	\$42 000
Debtors at 1 July 2004	\$38 000	Creditors 30 June 2005	\$56 000
Cost of goods sold	\$215 000	Payments to creditors	\$225 000
Stock on hand 30 June 2005	\$81 000	Loan – Esanda (1 July 2004)	\$40 000
Advertising	\$26 000	Payment off loan at 31 December 2004	\$5 000
Wages	\$62 000	Accumulated depreciation of delivery van 1 July 2004	\$17 000
Printing and stationery	\$3 560	Capital at 1 July 2004	\$24 100

- 5** Is the main source of funding for this business from external parties or the owner? Explain.

- 6** Comment on the cash flow of the business during the year. Are there any areas of concern in the cash management of the business?



7 Bank Reconciliation

Terms you should know

Bank reconciliation – the process of checking the bank balance in the records of the business against the bank balance as shown by the bank

Deposits not credited – amounts which have been received by the business but have not yet been banked (are not recorded on the bank statement)

Direct deposits – amounts that are deposited directly into the bank account

Periodical payments (payments by authority) – payments made by the bank on the authority from the account holder

Unpresented cheques – cheques that have been written out but have not yet been presented to the bank for payment

- 1** Explain why it is necessary to undertake a bank reconciliation process.

- 2** List 6 reasons why the bank records might not agree with the records of the business.



- 3** The bank statement for CD Manufacturers on 30 April 2005 showed a balance of \$7 228. The records of the business showed a balance of \$6 722. The bank statement included bank fees \$20 and interest earned \$526. Prepare a statement to reconcile the records of the business with the records of the bank.

- 4** When Fine Arts Supplies received their bank statement on 31 March 2005, they found that the balance showed \$5 123. The records of the business showed \$5 786. The statement included bank fees of \$30 and a periodical payment of \$478. There was one unpresented cheque (No. 33765) for \$405 and a deposit not credited for \$560.

Prepare a statement to reconcile the records of the bank with the records of the business.

Records of business		Bank reconciliation statement	

- 5** The bank statement at 31 May 2005 for Glorious Gnomes showed an overdraft balance of \$3 240. The records of the business showed the balance to be negative at (\$1 604). After comparing the statement to the records, it was found that there were 3 unpresented cheques (Nos. 10326 – \$612, 10378 – \$110, and 10399 – \$278) and a deposit not credited \$1 932. Interest \$570 and bank fees \$134 had been debited on the bank statement. Prepare a statement to reconcile the difference.

Records of business		Bank reconciliation statement	

- 6** Prepare a statement to reconcile the records of Mighty Atom with the bank statement at 30 June 2005. At 31 May 2005 there were two unpresented cheques (Nos. 216 – \$1 400 and 219 – \$720). The balance in the records of the business at 31 May was (\$1 515).

Bank statement at 30 June 2005					Cash receipts journal – June			
Date	Details	Debit	Credit	Bal.	Jun 2	Debtor		
Jun 1	Balance			604 cr	6	Cash fees		3 104
	216	1400		796 dr	14	Cash fees		620
2	Cash/Chqs		365	431 dr	23	Debtors		275
4	219	720		1 151 dr	28	Cash fees		1 500
6	Cash/chqs		3104	1 953 cr				
12	220	2157		204 dr				
15	Cash/Chqs		620	416 cr				
19	222	2000		1 584 dr				
25	Cash/Chqs		275	1 309 dr				
28	221	940		2 249 dr				
30	Interest	135		2 384 dr				
	Bank fee	25		2 408 dr				

Cash payments journal – June			
Jun 8	Mitchelson Toys	220	2 157
12	Irwin Ltd	221	940
19	Wages	222	2 000
21	City Power	223	689
25	Ampol petrol	224	246

Records of business		Bank reconciliation statement	



8 Price Setting

Terms you should know

Breakeven point – the point at which all of the costs of the business are covered by the revenue of the business (the business makes no profit or loss)

Contribution margin – the amount that each item sold contributes towards the expenses of the business. Selling price less variable costs (cost of purchasing the items).

Desired profit – the amount that the business hopes to earn after all costs have been met

Fixed cost – a cost that will not vary with the number of items sold eg wages, electricity

Variable cost – the cost of buying in item for sale. Total variable costs will differ with the level of activity of the business.

FORMULAS

Contribution margin = selling price – variable cost

Breakeven point (no of units to be sold to cover all costs) =
$$\frac{\text{Total fixed costs}}{\text{Contribution margin per item}}$$

Total revenue at breakeven point = No of units at breakeven point x selling price per item

To earn desired profit (no of units required to be sold) =
$$\frac{\text{Total fixed costs} + \text{desired profit}}{\text{Contribution margin per unit}}$$

To find required selling price =
$$\frac{\text{Total fixed costs} + \text{total variable costs} + \text{desired profit}}{\text{No of units that can be sold}}$$

1 Label the following costs as fixed or variable.

Electricity \$2 400		Freight in per item \$2	
Purchase price per item \$22		Wages \$60 000	
Rent \$12 000		Advertising \$45 000	
Wrapping \$1 per item		Customs duty \$2.50 per item	

2 Calculate the following based on the costs in Q1 above.

Total fixed costs		Total fixed costs if 2000 items sold	
Variable cost per item		Total variable costs if 2000 items sold	

3 Glorious Gardens are bringing a new disease free plant on to the market from overseas. You are to calculate the number of plants they will need to sell to breakeven, and the revenue that will be earned at breakeven point. The expected selling price \$30 each. The purchase price per plant is \$14.50.

The fixed costs are

- wages \$124 000
- electricity \$3 100
- Rent \$16 000
- water rates \$10 000

Contribution margin per plant	
Total fixed costs	
Breakeven point in units	
Revenue at breakeven point	

4 What will be the profit or loss if they sell 9 000 plants?

5 What will be the profit or loss if they sell 10 000 plants?

- 6** Salad Spinners are introducing a new improved device for washing and drying salads. They think they can sell the spinner for \$46 each. The costs involved are:

- advertising \$30 000
- wages \$72 000
- cost of each spinner \$18
- freight in \$3 each,
- rent of warehouse \$40 000
- packaging of each spinner \$1.

The desired profit for the year is \$60 000. Read the statements below and decide if each is true or false. Use T of F in the last column.

Total fixed costs are \$142 000	
Variable costs are \$18 per unit	
Contribution margin per unit is \$22	
Breakeven point in units is 5 917	
Total revenue at breakeven point + desired profit is \$387 182	

- 7** Comfy Chairs is going into business selling dining chairs. They expect to be able to sell each chair for \$220. The costs of the enterprise are expected to be: timber \$50 per chair, polishing \$44 per chair, advertising \$35 000, rent of factory \$24 000, wages of carpenter \$46 000, office expenses \$18 000. They hope to earn \$50 000 profit in a year.

Variable costs per chair	
Total fixed costs	
Contribution margin per chair	
Breakeven point (number of chairs)	
Number of chairs to be sold to earn the desired profit	
Total revenue earned if the desired profit is achieved	

- 8** What alternatives are available to Comfy Chairs if they decide it will not be possible to sell the required number of chairs to earn the desired profit? (Answer in the space at top right.)

- 9** Mighty Atoms are going to introduce a new line of children's toy that they will be importing from overseas. They need to know how much they will need to charge per toy to cover all of their costs and to earn their desired profit. They estimate that they will be able to sell 40 000 toys in the first year.

The costs are expected to be:

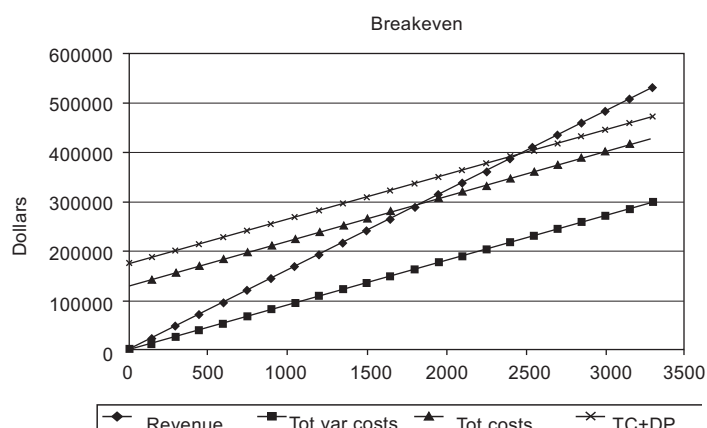
- purchase price per toy \$16
- freight and insurance \$8 per toy
- advertising \$35 000
- rent of shop \$30 000
- office expenses \$24 000
- motor expenses \$9 000.
- The desired profit is \$70 000.

Total variable costs for 40 000 toys	
Total fixed costs	
Selling price per toy	
Total revenue if they sell 40 000	

- 10** On the graph below:
- label the breakeven point
 - label the point at which the desired profit will be earned
 - shade the area representing the variable costs
 - shade the area representing the fixed costs
 - shade the area of profit
 - shade the area of loss.

How many units will be sold at breakeven point?

What will be the total revenue at breakeven point?





9 Recording for Stock

Terms you should know

Continuous recording – ongoing recording of the stock or inventory (manually using stock cards or using technology)

First-In-First-Out (FIFO) – a stock management system where the oldest stock is the first to be sold

Identified cost – a stock management system where all items of stock carry a tag showing the cost price of the item

Inventory – stock held by the business for resale

Lead-time – the time it takes for stock that has been ordered to arrive at the business

Perpetual recording – each purchase or sale (and return) is recorded at cost price at the time of transaction

Stock –

Stock card – a manual record of all movements of stock into or out of the business

- 1** Distinguish between a service business and a trading business.

- 2** Why would a business use FIFO for stock recording?

- 3** Why would a business use Identified cost for stock recording?

- 4** Which cost method will give the higher value of stock at the end of the period? Why?

- 5** Fill in the gaps (marked by ?) on the stock card.

Date	Reference	In			Out			Balance		
		Qty	Cost	Total	Qty	Cost	Total	Qty	Cost	Total
1/6	Balance							20	10	?
1/6	Inv 406	30	10	?				?	?	?
2/6	Inv 941				?	?	?	45	?	?
6/6	Inv 946				16	?	?	?	?	?
10/6	Inv 1076				?	?	?	20	?	?
15/6	Inv 425	15	12	?				20	10	?
								?	?	?

- 6** Record the following transactions on the stock card for Sports Jackets using FIFO costing:

1 May Stock of jackets on hand 5 at \$150 each

2 May Bought 10 Jackets from Smart Tailors at \$160 each Inv ST567

3 May Sold 3 jackets to N Norman Inv 2671 for \$750 each

4 May Sold 6 jackets, Inv 2674, 2678, 2679 for \$750 each

5 May Customer returned 2 jackets Cr note 95 from the sale made on 4 May

Date	Reference	In			Out			Balance		
		Qty	Cost	Total	Qty	Cost	Total	Qty	Cost	Total

- 7** The stock card below refers to squash racquets sold by Squash International. Study the information on the card and answer the questions below.

Date	Reference	In			Out			Balance		
		Qty	Cost	Total	Qty	Cost	Total	Qty	Cost	Total
1/6	Balance							38	50	1900
2/5	Inv 1027				25	50	1250	13	50	650
3/5	Inv 512	30	52	1560				13	30	50
								52	650	1560
8/5	Cr note 99	5	50	250				18	30	50
								52	900	1560
9/5	Inv 1069				18	50	900			
					50	52	520	20	52	1040
10/5	Cr note 333				3	52	156	17	52	884

Number of racquets sold in May		Value of racquets purchased in May	
Number of racquets returned to supplier in May		Value of racquets returned by customers in May	
Value of returns out		Value of stock on hand on 10 May	
Value of stock on hand on 8 May		Cost of goods sold for May	

- 8** Explain why perpetual recording of stock assists in stock management.

- 9** Lead-time is important in stock management. Explain.

- 10** List 4 problems of holding too much stock.



10 Stock-Taking and Adjustments

Terms you should know

- FIFO** (First-in-First-out) – a stock management system where the oldest stock is the first to be sold
Stock card – a manual record of all movements of stock into or out of the business
Stock gain – recorded stock is less than the stock on hand as per the stock take
Stock loss – recorded stock is greater than the stock on hand as per the stock take
Stock-taking – counting of stock on hand in a business for the purpose of calculating and accurate gross profit

- 1 Explain the purpose of doing a stock-take.
- 2 Describe the steps involved in stock taking.

- 3 Calculate the value of the stock on hand at 30 June 2005 for Fancy Novelties.

Stock line	No. counted	Cost per item	Total value
Product A	400	\$12	
Product B	320	\$18	
Product C	515	\$6	
Product D	206	\$40	
Total value as per stock take			

- 4 Which of the following factors could account for a stock loss?

Factor	Yes or No	Factor	Yes or No
1 Recording of 5 items sold (actual sale 6 items)		6 Recording of 5 items returned to supplier (actual return 6)	
2 Theft of stock by staff		7 Disposal of damaged stock without recording it	
3 Error in stock taking count		8 The owner taking stock for his own use without recording i	
4 Recording of 4 items returned in by customer		9 Stock purchased and delivered 45, Invoiced and recorded 50	
5 Error in allocation of cost to the stock at stock take			

- 5 What are the costs involved in carrying out a stock take?
- 6 What is the effect of a stock gain on the profit or loss?

7 What is the effect of a stock gain on the Balance sheet (Statement of financial position)?

- 8** Prepare a trading statement for Fancy Novelties for the year ended 30 June 2005 using the following information:

- Credit sales \$840 000
- Cash sales \$21 800
- Sales returns \$26 000
- Cost of goods sold \$380 000
- Stock gain \$1 600.

- 9** The stock take carried out on Product F by Fancy Novelties revealed that there were 40 items in stock. Record any necessary adjustment on the stock card at 30 June 2005.

Date	Reference	In			Out			Balance		
		Qty	Cost	Total	Qty	Cost	Total	Qty	Cost	Total
30/6	Balance							17	14	
								25	15	

- 10** The stock take on Product G revealed that there were 205 items in stock. Record any necessary adjustment on the stock card at 30 June 2005.

Date	Reference	In			Out			Balance		
		Qty	Cost	Total	Qty	Cost	Total	Qty	Cost	Total
30/6	Balance							45	22	
								157	24	

- 11** Calculate the value of Product H at stock take using FIFO. There are 800 items in stock. The last 4 invoices received for Product H were as follows:

Date	Number purchased on invoice	Cost price on invoice	Value
30 June	200	\$18	
26 June	150	\$18	
24 June	250	\$17	
21 June	360	\$16	

Total value of Product H at 30 June _____

11 Journals for Trading Businesses

Terms you should know

Cash payment journal – book used to record the cash outflows of the business

Cash receipts journal – book used to record the cash inflows of the business

Purchases journal – book used to record the credit purchase of goods or services

Sales journal – book used to record the credit sale of goods or services

- 1** Explain how the use of journals assists in the recording processes of a business.

- 2** Explain the benefits of using multi-column journals.

- 3** Explain why the document numbers are recorded in the journals.

- 4** Fill in the gaps in the Cash receipts journal. The business uses a mark-up of 100%.

Date	Details	Rec	Debtor	Cash sales		GST	Sundries	Bank
				Cost	Sales			
1/7	Cash sale	44		100	200	?		220
2/7	D Donaldson	45	?					460
4/7	Interest - ESANDA	46						150
7/7	Cash sale	47		230	?	?		?
9/7	F Mitchelson	48	780					?

- 5** Explain why the column for 'Cost' is needed.

- 6** Why is GST not recorded in this journal for the receipts from debtors?

- 7** Fill in the gaps in the Sales Journal. The business uses a mark-up of 150%.

Date	Debtor	Inv	Cost	Cr sale	GST	Total
2/7	D Donaldson	555	400	?	?	?
4/7	F Mitchelson	556	300	750	?	?
8/7	J Segan	557	?	500	?	?
9/7	M Sheppard	558	?	625	?	?

- 8** Answer the questions below using the information in the journals for Book Fare. At 1 July 2005, the business had debtors totalling \$35 000, Creditors \$51 000, and a bank balance of \$5 668. (The remaining journals are over the page.)

Cash receipts journal

Date	Details	Rec	Debtor	Cash sales		GST	Sundries	Bank
				Cost	Sales			
1/7	Scotsdale High Sch	105	1 200					1 200
3/7	Cash sale	106		250	450	45		495
5/7	Melton College	107	2 430					2 430
9/7	Cash sale	108		750	1500	150		1 650
12/7	Bank interest	109					65	65

Cash payments journal

Date	Details	Chq	Creditor	Purch	Wages	Elec	Sund	GST	Bank
3/7	Wages	156			1 700				1 700
4/7	Unwin Publishers	157	4 800						4 800
6/7	Cash purchase	158		490				49	539
7/7	City Power	159				880		88	968
9/7	Cambridge Press	160	3 100						3 100
10/7	Wages	161			1 700				1 700
13/7	Patterson Adverts	162					3 400	340	3 740

Sales journal

Date	Debtor	Inv	Cost	Cr sale	GST	Total
2/7	D Donaldson	555	400	?	?	?
3/7	Melton College	5789	600	1 200	120	1 320
6/9	Western High	5790	850	1 700	170	1 870
13/7	Southern College	5791	1 000	2 000	200	2 200

Purchases journal

Date	Creditor	Inv	Cr Purch	GST	Total
5/7	Unwin Publishers	7845	1 600	160	1 760
8/7	Oxford Printing	2295	740	74	814
11/7	Jacaranda Press	1076	3 680	368	4048

1 Credit sales for the month		7 Amount owed to/by ATO at 31/7	
2 Total sales for the month		8 Cost of goods sold for month	
3 Total purchases for the month		9 Debtors at the end of the month	
4 GST collected in July		10 Creditors at the end of the month	
5 GST paid in July		11 Gross profit for the month	
6 Bank balance at 31 July			

9 Record the transactions below in the sales, purchases, cash receipts and cash payments journals of Fine Art Supplies.

Aug 1	Bought stock of paper from AAP on credit \$1 300 (plus GST \$130)	Inv 10457
3	Sold paints to Adelaide College on credit \$900 (plus \$90 GST) (cost price \$300)	Inv 7756
6	Paid rent of shop to Nelson Real Estate \$3 000 (plus \$300 GST)	Chq 3360
8	Cash sale of frames \$400 (plus GST \$40) (cost price \$150)	Docket 89
9	Paid Paper Products \$2 560 owing at August 1	Chq 3361
10	Sold paper to Hobart TAFE \$2 780 (plus \$278 GST) on credit (cost price \$1 100)	Inv 7757
12	Sunshine College paid amount owing at 1 August \$995	Rec 871
14	Bought drawing pins from Ajax Metals for cash \$200 (plus \$20 GST)	Chq 3362
15	Paid wages for month \$4 500	Chq 3363
18	Bought canvasses from Specialty Fabrics on credit \$5 440 (plus \$544 GST)	Inv S2109
21	Central Secondary School paid amount owing \$450	Rec 872
25	Sold canvasses to Regional College \$2 600 (plus \$260 GST) (cost \$1 200) on credit	7758
29	Paid \$700 (plus \$70 GST) advertising in Local Press	Chq 3364
30	Paid supplier Perfect Paints \$2 500 owing	Chq 3365
31	Sold oil paints \$130 cash (plus \$13 GST) (cost \$40)	Docket 90

12 Reporting for trading businesses(1)

Terms you should know

Accounting period (reporting period) – the period for which accounting reports are prepared. This cannot be longer than 12 months

Cost of goods sold – the total costs related to the goods that have been sold. Sales revenue less cost of goods sold equals Gross profit

Gearing –

Gross profit – the difference between the sales revenue and the cost of goods sold. It is available to cover the cost of other expenses and for net profit

Gross profit ratio –

Net profit – sales revenue less all expenses incurred in earning that revenue. Net profit increases owner's equity

Return on owner's investment –

Working capital ratio –

- 1** Explain what the calculation of the gross profit for a firm tells us.

- 2** Fill in the gaps (marked by ?) in the following trading statement.

Trading statement for six months ended 31 December 2005	
Sales	?
Less Sales Returns	6 100
Net Sales	187 500
Less Cost of Goods Sold	?
Gross Profit	48 700
Less Stock Loss	?

Adjusted Gross Profit

47 200

- 3** Calculate the Gross profit ratio from the trading statement in Q2.

- 4** The maximum length of time for an accounting period is 1 year. Is this the ideal length of period for the preparation of accounting reports? Why or why not?

- 5** Fill in the gaps in the balance sheet (statement of financial position).

Balance sheet at 31 December 2005			
Current assets		Current liabilities	
Bank	?	Creditors	?
Debtors	50 000	Short term loan	5 000
Stock	65 000		?
	?	Non current liabilities	
Non current assets		Mortgage	200 000
Motor vehicle	48 000		260 000
Less accumulated depreciation	(12 000)	Proprietorship	
Premises	?	Capital	?
	286 000	Plus profit	50 000
		Less Drawings	(40 000)

?

\$426 000

?

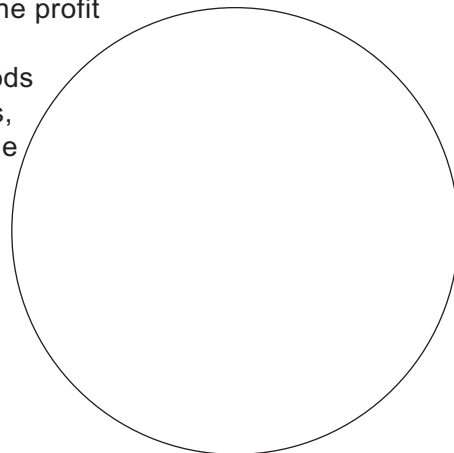
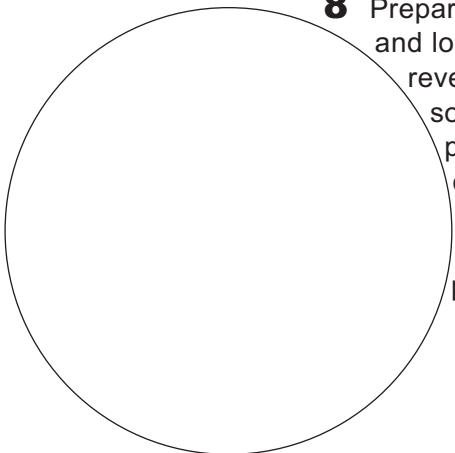
6 Calculate the following from the balance sheet in Q5:

- Return on owner's investment _____
- Working capital ratio _____
- Gearing _____

7 Prepare a profit and loss statement (statement of financial performance) and balance sheet (statement of financial position) for Office Furniture Ltd for year ended 30 June 2005, using the information below.

Bank	(2 950)	Creditors	41 800
Advertising	17 800	Sales	554 000
Rent	22 000	Electricity	3 800
Motor expenses	9 800	Postage and stationery	3 200
Sales returns	4 000	Motor vehicle	38 000
Debtors	51 000	Stock	59 000
Wages	140 000	Stock gain	1 200
Interest paid	3 150	Bank fees	950
Accumulated depreciation of MV	14 800	Drawings	55 000
Loan – due 5 years	45 000	Capital 1/7/04	35 850
Term deposit – due 6 months	10 000	Interest revenue	500
Cost of goods sold	225 000	Office expenses	41 700
Depreciation of MV	7 600	Repairs and maintenance	4 100

8 Prepare a pie chart for the profit and loss showing total revenues, cost of goods sold, total expenses, profit. Prepare a pie chart for the assets and liabilities and proprietorship.

**9** What factors can cause the gross profit ratio to change?

13 Depreciation

Terms you should know

Accumulated depreciation – total of depreciation that has been written off so far

Allocated cost – the amount of the original cost which is written off over the useful life of the asset (depreciation)

Carrying value – the cost of an asset less the accumulated depreciation (written-down value)

Depreciable value –

Depreciation – the allocation of the cost of a non-current asset over its effective working life

Reducing-balance method – a method of calculating the depreciation of an asset based on the carrying value (written-down value) at the end of the previous period

Straight-line method – a method of calculating the depreciation of a non current asset by allocating the cost evenly over the useful working life

Written-down value – the cost less accumulated depreciation of a non current asset (carrying value)

Depreciation (Straight-line method) $\frac{(\text{cost} + \text{modifications}) - \text{Scrap value}}{\text{Useful life}}$ depreciation per period

Straight line rate $\frac{\text{Depreciation per period}}{(\text{Cost} + \text{modifications})} \times \frac{100}{1}$

Reducing-balance method Straight line rate $\times 1.5$

- 1** Explain why it is not good accounting practice to write off the purchase of a non-current asset in the period in which it was purchased. Use an accounting principle or concept in your answer.

- 2** Distinguish between the treatment of installation and delivery of plant, and the annual insurance expense, when calculating the cost of an asset.

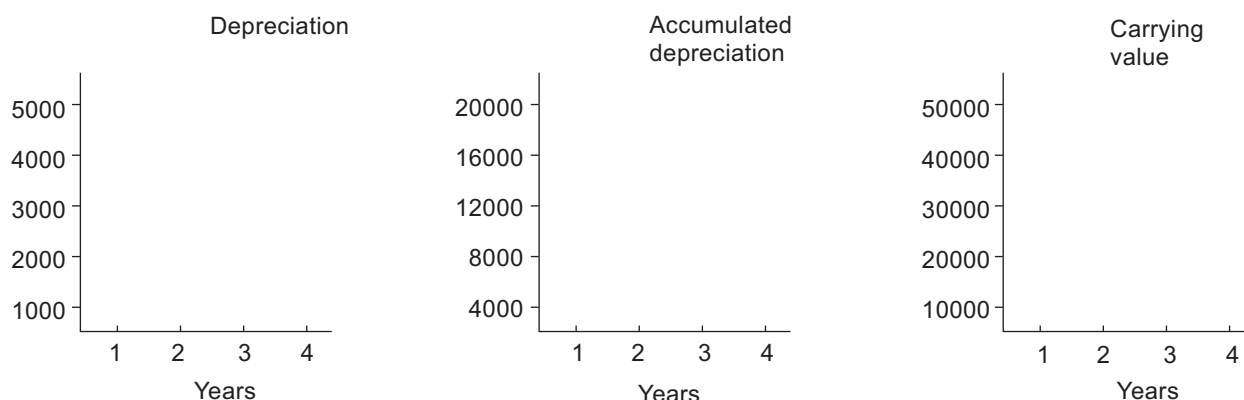
- 3** On what basis do businesses decide which method of depreciation calculation to use?

- 4** What is the effect of the depreciation expense on the accounting equation?

- 5** Complete the table below for a delivery van which was purchased for \$50 000, has an expected scrap value of \$10 000, and an expected useful life of 10 years. (Use the straight-line method)

	Year 1	Year 2	Year 3	Year 4
Depreciation expense per year				
Accumulated depreciation at the end of each year				
Carrying value at the end of each year				

6 Use the information in Q5 to complete the graphs below.



7 Is the depreciation expense shown on the cash flow statement? Why or why not?

8 Paper products purchase a machine from Sweden for making paper napkins. The invoice price is \$800 000, delivery and insurance cost \$20 000, installation \$10 000. The machine is expected to last 20 years, and have a scrap value of \$15 000.

a	Calculate the cost of the machine	
b	Calculate the depreciation expense each year , using the straight-line method	
c	Show how the asset would appear on the balance sheet (statement of financial position) after the end of Year 3	

9 If Paper Products had decided to use reducing balance as the method for calculating the depreciation expense:

a	Calculate the rate for the straight-line method	
b	Calculate the rate for the reducing-balance method	
c	Calculate the amount of the depreciation using the reducing-balance method Year 1 Year 2 Year 3	
d	Show how the asset would appear on the balance sheet (statement of financial position) after the end of Year 3	

10 Are there any advantages of using the reducing-balance method to calculate the depreciation? Explain.



14 Balance-day Adjustments

Terms you should know

Accounting period (reporting period) – the period for which accounting reports are prepared. This cannot be longer than 12 months.

Accrual basis of reporting – profit or loss is calculated taking into account all revenues earned and expenses incurred for the accounting period, whether or not they have been received or paid

Accrued expenses – expenses which are incurred before they are paid (these are liabilities)

Accrued revenue – revenue which are earned but not yet received (these are assets)

Balance-day adjustments –

Prepaid expenses – expenses which are paid before they are incurred (these are assets)

Reporting period – see Accounting period

- 1** Explain the circumstances in which the use of accrual accounting is the appropriate method.

- 2** Match the following terms to the definitions in the last column.

Prepaid revenue	A	Those which are paid but not incurred in the current accounting period
Accrued revenue	B	Those which are received but not earned in the current accounting period
Prepaid expense	C	Those which are incurred but not paid in the current accounting period
Accrued expense	D	Those which are earned but not received in the current accounting period

- 3** Which qualitative characteristics (concepts) indicate that balance-day adjustments should be prepared? Explain why.

- 4** For each of the following, calculate:

- a** the amount for this item which relates to the accounting period 1/7/04 to 30/6/05
- b** the amount for this item which relates to another accounting period (state which period)
- c** the amount and classification for the item to appear on the balance sheet (statement of financial position)
- d** the cash movement relating to this item to be included in the period 1/7/04 to 30/6/05

	a	b	c	d
1 A deposit is received on a job on 15 June 2005. The job has not been started by 30 June 2005 – \$20 000				
2 Interest earned on a term deposit (6 months) – \$15 000 at 5% per annum, lodged on 1 January 2005				
3 Insurance premium paid 1 April 2005 for 12 months – \$16 000				
4 An outstanding telephone account at 30 June 2005 – \$720				
5 Unpaid wages at 1 July 2004 – \$5000				

5 Read each of the statements below and decide if they are true or false.

1	Electricity expense paid 1/7/04 to 30/6/05 – \$2 100. Unpaid account at 30 June 2005 – \$580. Expense for the year – \$ 2 680.	
2	Wages paid in the period 1/7/04 to 30/6/05 – \$65 000. At 30 June 05 the unpaid wages were \$5 000. This will be shown as a current asset on the balance sheet (statement of financial position).	
3	Insurance is paid annually on February 28 – \$3 000. The amount of the accrued expense at 30 June 2005 will be \$2 000.	
4	A deposit on a job not yet started was received on 16 June 2005 – \$15 000. This is included in fees revenue of \$260 000. The deposit will be shown on the balance sheet (statement of financial position) as a current liability.	
5	A loan is taken out from the bank for \$20 000, interest 10% per annum. Interest is to be paid quarterly on Feb 28, May 31, Aug 31, and Nov 30. The amount owing at 30 June 2005 is \$500.	

6 Complete the table below:

Item	Amount of expense	Item and amount of asset or liability at 30 June 2005	Cash used between 1 July 2004 and 30 June 2005
Rent	?	Current asset	\$36 000
		\$5 000	
Motor expenses	\$18 000	?	\$16 000
Electricity	\$4 500	Current liability \$200	?
Insurance	\$8 000	?	\$10 000

7 What is the effect on the accounting equation of making a balance-day adjustment for prepaid insurance (\$2 000)?

8 What is the effect on profit and the balance sheet of NOT making a balance-day adjustment for accrued wages (\$3 500)?

9 What is the effect on profit and the balance sheet of NOT making a balance-day adjustment for accrued interest revenue \$600?



15 Reporting for Trading Businesses (2)

Terms you should know

Accrual basis of reporting – profit or loss is calculated taking into account all revenues earned and expenses incurred for the accounting period, whether or not they have been received or paid

Accrued expenses – expenses that are incurred before they are paid (these are liabilities)

Gross profit – the difference between the sales revenue and the cost of goods sold. It is available to cover the cost of other expenses and for net profit.

Net profit – sales revenue less all expenses incurred in earning that revenue. Net profit increases owner's equity.

Prepaid expenses – expenses that are paid before they are incurred (these are assets)

Statement of financial performance (Profit and loss statement) – a statement reporting on all of the revenues and expenses incurred by an entity in an accounting period. It is a summary statement.

Statement of financial position (Balance sheet) – a statement reporting all of the assets and liabilities of an entity and showing the owner's equity (proprietorship). It is a position statement.

1 What are the advantages of preparing reports regularly and in a timely manner?

2 This balance sheet does not balance! Reorganise it in the space at right so that it will balance.

Current assets			
Bank	(7 250)		
Motor vehicle	45 000		
Prepaid expenses	630		
Prepaid revenue	12 000		
Profit	52 000		
	116 880		
Current liabilities			
Stock	49 800		
Mortgage	200 000		
Drawings	40 000		
	289 800		
Non current assets			
Creditors	29 000		
Term deposit (due 6 mths)	20 000		
Accrued expenses	4 100		
Premises	250 000		
	303 100		
Non current liabilities			
Debtors	38 000		
Accum. depreciation of MV	12 000		
Accrued revenue	1 000		
	51 000		
Proprietorship			
Capital 1/7/04	\$128 080		

- 3** Explain how the qualitative characteristics of relevance and reliability apply to the preparation of accounting report.

- 4** Prepare a profit and loss statement (statement of financial performance) from the following information.

Balances at 30 June 2005

Sales	428 000	Advertising	22 000
Cost of goods sold	200 000	Sales returns	3 000
Motor vehicle expenses	14 800	Wages – office staff	67 000
Wages – sales staff	85 000	Bank fees	650
Depreciation of display equipment	6 500	Telephone	2 900
Interest paid	15 000	Depreciation of office equipment	5 800

Additional information at 30 June 2005:

- advertising includes an amount for 3 advertisements (\$2 000) each, which have not yet appeared in the local paper
- the business has received but not yet paid an account for telephone \$820
- unpaid wages (sales staff) at end of June \$4 300
- The stock take showed a stock gain of \$3 300.

- 5** Explain the purpose of classification in accounting reports.

- 6** Using the statement prepared in Q4, calculate the following ratios and comment on their adequacy:

Gross Profit Ratio (Industry average 55%)	
Net Profit Ratio (Industry average 12%)	
Return on total Assets (average total assets \$160 000) (Industry average 15%)	

16 Recording for Petty Cash

Terms you should know

Imprest system – system for recording of petty cash

Petty cash advance (float) – the amount which is kept in the petty cash fund

Petty cash book –

Petty cash float –

Reimbursement – the cheque drawn to bring the petty cash balance back up to the imprest amount

Voucher –

- 1** Explain the purpose of maintaining a petty cash float.

- 2** On May 15, Mary took \$5 from the petty cash tin to buy milk and papers for the office. Jessie is in charge of the petty cash float and she authorised this spending. On May 18, Olaf took \$15 for fares (\$5) and postage (\$10).

Complete the petty cash vouchers below.

Voucher No 35 Date _____

For _____

Amount _____

Signed _____

Authorised _____

Voucher No 36 Date _____

For _____

Amount _____

Signed _____

Authorised _____

- 3** Fill in the blanks (marked by a ?) in the petty cash book.

Received	Date	Details	Vou.	Amount	Fares	Post.	Sundries
100	1/6/04	Imprest cheque					
	7/6/04	Joseph O'Reilly	01	25		20	?
	12/6/04	Win Choi	02	?	15	25	
	18/6/04	Guiseppe Falconi	03	17	5		?
	25/6/04	Mark Mercuri	04	?		14	
				?	?	?	?
	30/6/04	Balance c/d		?			
100				100			
?	30/6/04	Balance b/d					
?		Reimbursement cheque					

- 4** What are the advantages of keeping a petty cash book? Are there any disadvantages? Explain.

- 5** Complete the petty cash book with the details below: Calculate the value of the reimbursing cheque.

31/5/05		Float balance b/d	\$15
		Reimbursing cheque no 9954	\$85
2/6/05	Vou 86	J Wilson	\$18 – lodgement fees
4/6/05	Vou 87	P Scott	\$25 - hospitality
8/6/05	Vou 88	J Segan	\$16 – Fares \$5, Postage \$11
9/6/05	Vou 89	J Summitz	\$20 - Donation
14/6/05	Vou 90	G McDonald	\$10 - Postage
15/6/05		Reimbursing cheque 10222	?

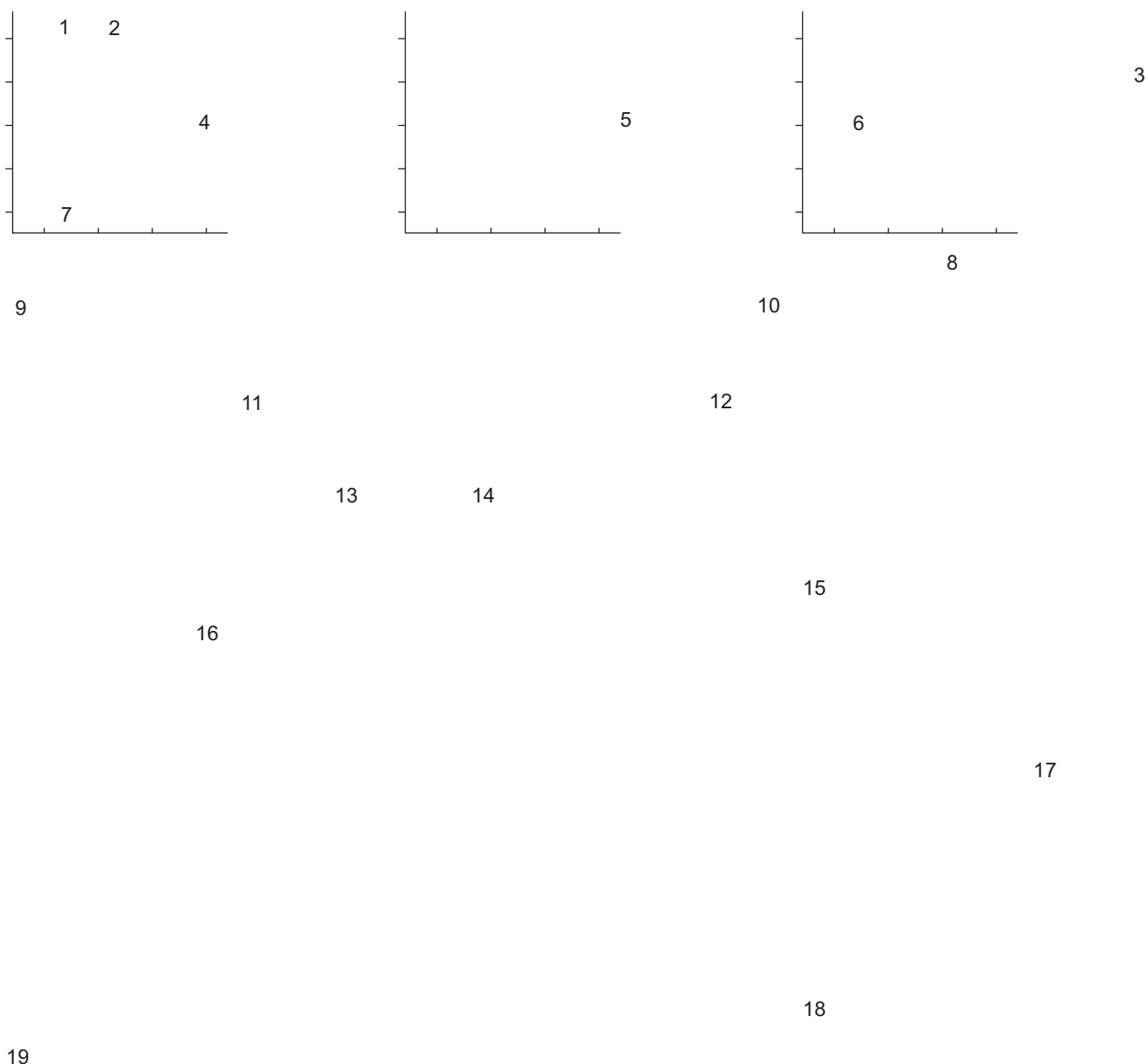
Received	Date	Details	Voucher	Amount	Fares	Postage	Sundries

- 6** Fill in the blanks in the sentences below.

The _____ for the office was \$120. The records were kept by Sylvia the receptionist, on the _____. When Marilyn wanted to purchase tea and coffee for staff morning teas, she filled in a _____ and was given the cash from the _____. This process continued until most of the _____ had been spent. Sylvia then wrote up the _____ and counted the balance of the cash. The accountant gave her a _____, which she cashed to bring the fund back up to the _____ amount.



17 Fundamentals Crosswords



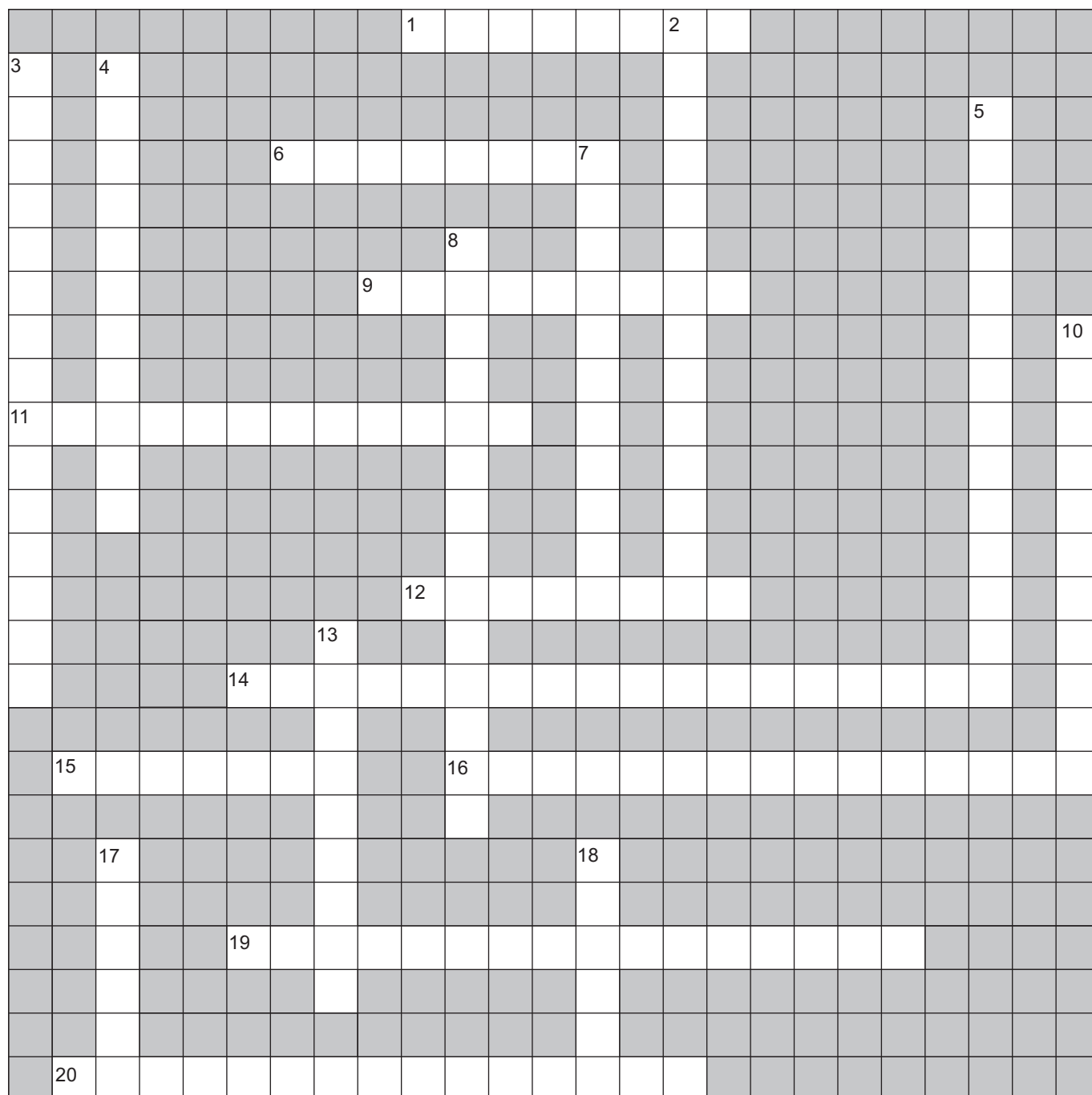
Across

1. incomes earned but not yet received 7, 7
4. depreciation, 9, 4
7. inducement to pay early offered by creditor 8, 7
9. recording of inventory greater than actual holdings 5, 4
10. What's left after all costs have been deducted 3, 6
16. document written out but not presented to bank for payment 11, 6
18. earnings from operations 6
19. all costs are covered and no profit or loss is made 9

Down

2. supplier of goods or services on credit 8

3. goods available for sale 9
5. perpetual method 11,6
6. period between ordering and delivery of stock 4,4
8. income received before earned 7, 8
9. book used to record credit transactions with customers 5, 7
11. items of value benefiting business in a period less than 12 months 7, 6
12. fund for payment of small amounts 5, 4
13. written downvalue 8,5
14. expenses which don't vary with the level of activity 5, 5
15. allocation of the cost of a non current asset 12
17. uncollectable amounts 3, 5

**Across**

1. reduction in capital 8
6. cash inflows 8
9. device for manual recording of inventory movements 5,4
11. preparation of reports including revenues earned an expenses incurred 7,5
12. outflows of cash 8
14. selling price less variable costs 12,6
15. earnings of the entity 7
16. costs incurred but not paid 7,8
19. book used to record goods or services obtained on credit 9,7

20. costs paid but not yet incurred 7,8

Down

2. amount available to cover general expenses of business 5,6
3. inducement to customers to pay early 8,7
4. changes with level of activity 8,4
5. getting agreement between two sets of records 14
7. counting of inventory in warehouse 5,4
8. current assets less current liabilities 7,7
10. amounts owed by the entity 11
13. goods available for sale 9
17. credit customer owing money 6
18. items of value owned or controlled by the entity 6



Glossary

Accounting equation – expresses the relationship between the amounts owned by the business and the amounts owed by the business. Usually expressed as $A = L + P$ or $A = L + OE$ (owner's equity).

Accounting period (reporting period) – the period for which accounting reports are prepared. This cannot be longer than 12 months.

Accounts payable – amounts owing by credit customers

Accounts receivable – amounts owing to credit suppliers

Accrual basis of reporting – profit or loss is calculated taking into account all revenues earned and expenses incurred for the accounting period, whether or not they have been received or paid

Accrued expenses – expenses that are incurred before they are paid (these are liabilities)

Accrued revenues – revenues that are earned but not yet received (these are assets)

Accumulated depreciation – total of depreciation that has been written off so far

Allocated cost – the amount of the original cost that is written off over the useful life of the asset (depreciation)

Assets – item of financial value owned or controlled by the business, it has future benefits for the business.

Bad debts – an amount that will not be received from a credit customer

Balance sheet – Statement of financial position – a statement reporting all of the assets and liabilities of an entity and showing the owner's equity (proprietorship)

Bank reconciliation – the process of checking the bank balance in the records of the business against the bank balance as shown by the bank

Breakeven – the point at which all of the costs of the business are covered by the revenue of the business (the business makes no profit or loss).

Carrying value – the cost of an asset less the accumulated depreciation (written-down value)

Cash flow statement – a statement showing all cash inflows less all cash outflows

Cash payments – cash outflows of the business

Cash payments journal – book used to record the cash outflows of the business

Cash receipts – cash inflows of the business

Cash receipts journal – book used to record the cash inflows of the business

Continuous recording – ongoing recording of the stock or inventory (manually using stock cards or using technology)

Contribution margin – the amount that each item sold contributes towards the expenses of the business. Selling price less variable costs (cost of purchasing the items).

Cost of goods sold – the total costs related to the goods that have been sold. Sales revenue less cost of goods sold equals gross profit.

Credit transactions – sale or purchase of goods or services where no cash changes hands at the point of sale.

Creditor – supplier of the goods or services that have been purchased on credit.

Creditors schedule – list of amounts owing to creditors for the credit purchase of goods or services

Current assets – items of value owned or controlled by the business that are cash or will be turned into cash within a period of 12 months

Current liabilities – amounts owed by the business that must be paid within a period of 12 months

Debtor – customer who has purchased goods or services on credit

Debtors schedule – list of amounts owed by the debtors (accounts receivable)

Deposits not credited – amounts which have been received by the business but have not yet been banked (are not recorded on the bank statement)

Depreciation – the allocation of the cost of a non current asset over its effective working life

Desired profit – the amount that the business hopes to earn after all costs have been met.

Direct deposits – amounts that are deposited directly into the bank account.

Discount allowed – an inducement to a debtor to get them to pay their account quickly.

Discount received – offered by the creditor as an inducement to pay the account quickly

Drawings – amounts of cash or other assets withdrawn from the business by the owner

Fixed cost – a cost that will not vary with the number of items sold eg wages, electricity

Entity assumption – the affairs of the business and the affairs of the owner must be kept separate

Expenses – costs incurred in the process of earning revenue

FIFO – First In, First Out – a stock management system where the oldest stock is the first to be sold

Goods and services tax (GST) – a value added tax which must be added to the selling price to get the price which must be paid by the customer. Currently GST is 10%

Gross profit – the difference between the sales revenue and the cost of goods sold. It is available to cover the cost of other expenses and for net profit.

Identified cost – a stock management system where all items of stock carry a tag showing the cost price of the item.

Imprest system – system for recording of petty cash

Income – revenue derived from the trading operations of a business

Inventory – stock held by the business for resale

Lead time – the time it takes for stock which has been ordered to arrive at the business

Liabilities – amounts owed by a business

Mark up on cost – a calculation of the selling price of an item, based on the cost price plus a percentage to cover other costs.

Net profit – sales revenue less all expenses incurred in earning that revenue. Net profit increases owner's equity.

Non cash expenses – expenses such as depreciation or bad debts for which no cash is paid out.

Non current assets – items of value owned or controlled by the business which will be of benefit to the business for a period longer than 12 months

Non current liabilities – amounts owed by the business which will not need to be paid within the next 12 months

Payments – outflows of cash from the business

Payments by authority – payments made by the bank on the authority from the account holder

Perpetual recording – continuous recording of stock or inventory – each purchase or sale (and returns) is recorded at cost price at the time of transaction.

Petty cash – small amounts of cash used to pay for expenses that cannot be paid by cheque.

Petty cash advance (float) – the amount that is kept in the petty cash fund.

Prepaid expenses – expenses that are paid before they are incurred (these are assets)

Prepaid revenues – revenues that are received before they are earned (these are liabilities)

Profit and loss statement – Statement of financial performance – a statement reporting all of the revenues and expenses of an entity in an accounting period

Purchases journal – book used to record the credit purchase of goods or services

Purchases returns – stock returned to the supplier

Receipts – inflows of cash to the business

Reducing-balance method – a method of calculating the depreciation of an asset based on the carrying value (written-down value) at the end

of the previous period.

Reimbursement – the cheque drawn to bring the petty cash balance back up to the imprest amount

Reporting period – accounting period – the period for which accounting reports are prepared. This cannot be longer than 12 months.

Returns in – stock returned to the business by a customer

Returns out – stock returned to the supplier

Revenue – income earned from the operations of the business

Sales journal – book used to record the credit sale of goods or services

Sales returns – stock returned to the business by customers

Single entry recording – a recording system which has one entry for a transaction, usually in a cash book. Subsidiary records may also be maintained.

Statement of cash flows – a statement reporting on all of the inflows and outflows of cash for an entity, classified as operating, investing and financing operations

Statement of financial performance – Profit and loss statement – a statement reporting on all of the revenues and expenses incurred by an entity in an accounting period. It is a summary statement.

Statement of financial position – Balance sheet – a statement reporting all of the assets and liabilities of an entity and showing the owner's equity (proprietorship) It is a position statement.

Statement of receipts and payments – a statement reporting all of the inflows and outflows of cash in an accounting period. It is a summary statement.

Stock card – a manual record of all movements of stock into or out of the business

Stock loss – recorded stock is greater than the stock on hand as per the stock take.

Stock take – counting of stock on hand in a business for the purpose of calculating and accurate gross profit

Straight-line method – a method of calculating the depreciation of a non current asset by allocating the cost evenly over the useful working life

Trading statement – a statement showing details of the sale of goods and the cost of goods sold, used to calculate the gross profit.

Unpresented cheques – cheques that have been written out but have not yet been presented to the bank for payment.

Variable cost – the cost of buying in item for sale. Total variable costs will vary with the level of activity of the business

Working capital – difference between current assets and current liabilities. Amounts available for payment of short term liabilities.

SELECTED ANSWERS

1 INCOME (REVENUE) AND CASH RECEIPTS

3 Provision of services for cash, interest received on bank account and sale of goods for cash are income.

5 Income for February

Product	Income
Electric kettle	\$4 500
Electric toothbrush	\$2 580
Food wand	\$4 350
Total Income	\$11 430

6 increases in revenue can come from increases in numbers sold (disadvantage – costs of advertising and other costs such as delivery), or increases in price (disadvantage – may decrease numbers sold).

7

	Assets \$30 000	Liabilities \$10 000	Owner's equity \$20 000
A	35 000	15 000	20 000
B	36 000	15 000	21 000
C	38 000	15 000	23 000
D	38 200	15 000	23 200
E	39 000	15 000	24 000

8

Product line	Cost price	Mark up	Vendor's selling price	GST	Price shown on price tag
A	\$140	100%	280.00	28.00	308.00
B	\$67	150%	167.50	16.75	184.25
C	\$155	180%	434.00	43.40	477.40
D	\$34	200%	102.00	10.20	112.20

9

Product line	Price shown on price tag	GST	Vendor's selling price	Mark up	Cost price
E	\$220	20.00	200.00	100%	100.00
F	\$75	6.81	68.19	150%	27.27
G	\$130	11.82	118.18	200%	39.39

10 Cash Receipts, Income, Accounting equation, Entity assumption, Revenue, Selling price, Entity, Cost price

2 EXPENSES AND CASH PAYMENTS

4 Repayment of interest on loan, payment of electricity bill for business, purchase of materials for use in the business

7 Expenses for month are Motor expenses \$320, Advertising \$1400, Depreciation \$310, Supplies \$240, Rent \$2000 and Interest \$450.

So, total expenses are \$4720.

9

	Assets \$40 000	Liabilities \$18 000	Owner's Equity \$22 000
A	39 500	18 000	21 500
B	38 800	18 000	20 800
C	36 800	18 000	18 800
D	36 800	18 000	18 800
E	33 300	14 500	18 800

11 Cash payments E, Expenses G, Drawings F, Non cash expenses A, Depreciation D, Revenue B, Cost of goods sold C

12

Transaction	Profit calculation	Cash flow
Drawings of cash by the owner		✓
Payment of petrol account	✓	✓
Depreciation of motor vehicle	✓	
Cost of goods sold	✓	
Purchase of trading stock for cash		✓
Purchase of asset for cash		✓
Repayment of loan		✓
Payment of interest on loan	✓	✓

3 CREDIT TRANSACTIONS, DEBTORS AND CREDITORS

6 Credit sales for year = \$473 000, Credit purchases for year = \$242 000, Debtors at 30 June 2005 = \$13 000, Creditors at 30 June 2005 = \$59 000, Cash collected = \$766 000, Cash paid to creditors = \$387 000

9 False, True, False, True, True

10

Month	Cash sales	Credit sales	April	May	June
January	26 000	97 500	9 750		
February	25 000	98 000	24 500	9 800	
March	26 500	99 700	64 805	24 925	9 970
April	24 800	95 900	24 800	62 335	23 975
May	23 700	94 300		23 700	61 295
June	24 300	95 200			24 300
Total cash receipts			123 855	120 760	119 540

Debtors at 30 June \$137 795 (\$9 590 from April, \$33 005 from May, \$95 200 from June)

11

Cash to be received	Bad debt
\$1575	\$2 925

12 Because discount may be allowed to some of the debtors, and there may be some of the debts which are uncollectable (bad debts).

4 RECORDING FOR CREDIT TRANSACTIONS

1 M Green, Debtor

Date	Details	Cr Sales	Returns in	Cash rec	Disc all.	Balance
1/3/05	Balance					4 620
2/3/05	Receipt 37			4 500	120	–
9/3/05	Invoice 41267	6 035				6 035
10/3/05	Cr Note 381		335			5 700
19/3/05	Invoice 41272	5 700				11 400
25/3/05	Cr note 390		120			11 280
30/3/05	Receipt 47			7 030	250	4 000

Timbuctoo Productions, Creditor

Date	Details	Cr Purch	Returns out	Cash paid	Disc rec.	Balance
1/3/05	Balance					5 880
3/3/05	Chq 4021			3 670	210	2 000
12/3/05	Invoice 3248	5 150				7 150
13/3/05	Cr note 1076		420			6 730
16/3/05	Invoice 3310	8 500				15 230
18/3/05	Cr note 1031		450			14 780
30/3/05	Chq 4406			6 000	180	8 600

2

Net sales	11 280	Net purchases	13 650
Collections from debtors	11 530	Payments to creditors	9 670
Returns in	455	Returns out	870
Discount allowed	370	Discount received	390

3

Debtors 30/6/05	45 240
Creditors	28 100
Cash received from debtors	862 350
Cash paid to creditors	527 950

4

	Assets	Liabilities	Proprietorship
	Cash 20 000		
	Debtors 20 000	Creditors 25 000	Capital 15 000
a	Cash 20 000		
	Debtors 24 000	Creditors 25 000	Capital 19 000
b	Cash 19 300		
	Debtors 24 000	Creditors 25 000	Capital 18 300
c	Cash 22 800		
	Debtors 20 500	Creditors 25 000	Capital 18 300
d	Cash 16 000		
	Debtors 20 500	Creditors 18 200	Capital 18 300
e	Cash 16 000		
	Debtors 20 500		
	Stock 20 000	Creditors 38 200	Capital 18 300
f	Cash 16 000		
	Debtors 28 500		
	Stock 15 000	Creditors 38 200	Capital 21 300

5 Tonkin – Debtor

Date	Details	Cr Sales	Returns in	Cash rec	Disc all.	Balance
1/5	Balance					5 400
8/5	Inv 12146	3 870				9 270
9/5	Cr note 512		470			8 800

Broughton – Debtor

Date	Details	Cr Sales	Returns in	Cash rec	Disc all.	Balance
1/5	Balance					9 230
3/5	Rec 222			6 860	140	2 230
12/5	Inv 12147	1 800				4 030

XYZ Trading – Creditor

Date	Details	Cr Purch	Returns out	Cash paid	Disc rec.	Balance
1/5	Balance					8 400
2/5	Inv 3609	2 300				10 700
5/5	Cr note 229		340			10 360
7/5	Chq 389			8 500		1 860

ABC Manufacturing – Creditor

Date	Details	Cr Purch	Returns out	Cash paid	Disc rec.	Balance
1/5	Balance					11 400
1/5	Chq 344			5 000		6 400
4/5	Inv 11096	3 800				10 200
14/5	Chq 423			3 395	105	6 700

6

Debtors schedule at 14 May		Creditors schedule at 14 May	
Tonkin	8 800	XYZ Trading	1 860
Broughton	4 030	ABC Manufacturing	6 700
Balance as per debtors records	\$12 830	Balance as per creditors records	\$8 560

5 CASH RECEIPTS AND PAYMENTS JOURNALS

1 Handy Husband – cash receipts journal

Date	Details	Rec no	Cash fees	Sundries	Total
1/3/05	Bob Hand			30 000	30 000
4/3/05	Fees	1–10	780		780
10/3/05	Fees	11–17	2 780		2 780
24/3/05	Fees	18	660		660
			4 220	30 000	34 220

Handy Husband – cash payments journal

Date	Details	Chq no	Supp/s	Petrol	Rent	Sund.	Total
2/3/05	Melton Real Estate	001			2 000		2 000
2/3/05	Melton Hardware	002	3 150				3 150
3/3/05	Melton Express	003				1 500	1 500
5/3/05	Bob Hand	004				1 000	1 000
6/3/05	Esanda	005				600	600
16/3/05	Yarra power	006				310	310
18/3/05	Melton Hardware	007	750				750
20/3/05	Corner Service Station	008		330			330
25/3/05	Fast Print Advertising	009				770	770
26/3/05	Melton Hardware	010	120				120
28/3/05	Office Works	011				220	220
31/3/05	Melton Real Estate	012			2 000		2 000
			4 020	330	4 000	4 400	12 750

2 Statement of Receipts and Payments

Handy Husband Statement of Receipts and Payments for month ended 31 March 2005		
Receipts		
Capital contribution	300 000	
Fees	4 220	34 220
Payments		
Supplies	4 020	
Petrol	330	
Rent	4 000	
Advertising	2 270	
Drawings	1 000	
Motor vehicle lease	600	
Electricity	310	
Stationery	220	12 750
Excess of receipts over payments for month		21 470
Balance at 1 March 2005		–
Balance at 31 March 2005		\$21 470

3 See Thru Window Cleaning – Cash receipts journal

Date	Details	Rec no	Cash fees	GST	Sundries	Total
2/4/05	Fees	120–124	460	46		506
15/4/05	Fees	125–131	1 770	177		1 947
22/4/05	Fees	132–145	890	89		979
			3 120	312		3 432

See Thru Window Cleaning – Cash payments journal

Date	Details	Chq no	Supp.	Petrol	Rent	Sund.	GST	Total
1/4/05	Saferight supermarket	446	70				7	77
6/4/05	Burne Real Estate	447			2 400		240	2 640
9/4/05	Mobil	448		370			37	407
12/4/05	Saferight supermarket	449	95				9.50	104.5
18/4/05	Norfolk Insurance	450				1 350	135	1 485
24/4/05	Patterson Ads	451				1 400	140	1 540
27/4/05	Telstra	452				680	68	748
28/4/05	Mobil	453		390			39	429
30/4/05	Burne Real Estate	454			2 400		240	2 640
			165	760	4 800	3 430	915.50	10 070.50

4 Statement of Receipts and payments

See Thru Window Cleaning Statement of Receipts and Payments for month ended 30 April 2005		
Receipts		
Fees	3120	
GST	312	3432
Payments		
Supplies	165	
Petrol	760	
Rent	4800	
Insurance	1350	
Advertising	1400	
Telephone	680	
GST	915.50	10070.50
Excess of payments over receipts for month		(6638.50)
Balance at 1 April 2005		4270
Balance at 30 April 2005		\$(2368.50)

5 See Thru Window Cleaning is owed \$603.50 refund from the ATO for GST.

6 Select Trading – cash receipts journal

Date	Details	Rec no	Cash sales	GST	Debtors	Disc allowed	Sundries.	Total
5/5/05	G Saunders	995			9 000	100		8 900
14/5/05	Cash takings	996	2 000	200				2 200
15/5/05	B Select						5 000	5 000
16/5/05	Cash takings	997	4 400	440				4 840
21/5/05	Richards	998			5 800	116		5 684
26/5/05	Cash takings	999	1 200	120				1 320
31/5/05	Bank interest						400	400
			7 600	760	14 800	216	5 400	28 344

Cash Payments journal

Date	Details	Chq no	Crs	Disc Rec.	Wages	Petrol	Rent	Sundries	GST	Total
1/5/05	Alex Nelson	777					3 000		300	3 300
3/5/05	Cinema Ads	778						2 600	260	2 860
4/5/05	City Power	779						660	66	726
6/5/05	Ampol	780				440			44	484
12/5/05	Wages	781			2 800					2 800
	B Select	782						800		800
13/5/05	Marchmont	783	14 000	420						13 580
18/5/05	Staff amenities	784						160	16	176
20/5/05	Olivier P/L	785	6 700	201						6 499
24/5/05	Fast Print	786						500	50	550
25/5/05	B Select	787						1 000		1 000
28/5/05	Alex Nelson	788					3 000		300	3 300
31/5/05	Wages	789			2 800					2 800
			20 700	621	5 600	440	6 000	5 720	1 036	38 875

7

Select Trading Statement of Receipts and Payments for month ended 31 May 2005		
Receipts		
Cash takings	7 600	
GST	760	
Debtors collections	14 800	
Discount expense	(216)	
Capital contribution	5 000	
Bank Interest	400	28 344
Payments		
Creditors	20 700	
Discount revenue	(621)	
Wages	5 600	
Petrol	440	
Rent	6 000	
Advertising	3 100	
Electricity	660	
Drawings	1 800	
Staff amenities	160	
GST	1 036	38 875
Excess of payments over receipts for month		(10 531)
Balance at 1 May 2005		17 261
Balance at 31 May 2005		\$6 730

8 Offering discounts to customers can mean that the business will receive its cash more quickly

9 The business should not necessarily take advantage of discount offered by suppliers – if the bank account is in overdraft and the interest on the overdraft is greater than the discount offered by the supplier, then this will be a greater expense to the business.

6 REPORTING FOR SERVICE BUSINESSES

1

Statement of Profit and Loss For year ended 30 June 2005		
Revenue		
Fees		247 500
Less Expenses		
Advertising	35 000	
Electricity	4 200	
Motor expenses	21 900	
Printing and copying	3 700	
Postage	7 400	
Rent	20 000	
Telephone	5 800	
Wages	135 000	233 000
Net Profit		\$14 500

Balance Sheet at 30 June 2005		
Current assets		
Bank	6 600	
Debtors	22 000	28 000
Non current assets		
Motor vehicles	58 000	
Less Accum deprec	5 000	53 000
		81 000
Current liabilities		
Creditors	10 000	
Non current liabilities		
Loan – Venture Bank	40 000	50 000
		\$31 000
Proprietorship		
Capital	28 500	
Plus Profit	14 500	43 000
Less Drawings		12 000
		\$31 000

3

A Hollonds, Computer Consultant Statement of Profit & Loss For year ended 30 June 2004		
Revenue		
Fees		160 000
Less Expenses		
Advertising	33 000	
Depreciation	6 000	
Postage & stationery	7 500	
Wages	56 000	
Rent	12 000	
Telephone	2 780	
Travel & accommodation	7 130	
Office expenses	10 000	134 410
Net Profit		\$25 590

A Hollonds, Computer Consultant Balance sheet at 30 June 2004		
Current assets		
Bank		4 300
Non current assets		
Motor vehicle	41 000	
Less Accum deprec	13 000	28 000
		32 300
Current liabilities		
–		
Non current liabilities		
Loan		15 000
		17 300
Proprietorship		
Capital	15 910	
Add profit	25 590	41 500
Less drawings		24 000
		17 500

4

Garden Hose Equipment Statement of profit and loss For year ended 30 June 2005		
Revenue		
Cash sales	44 000	
Credit sales	370 000	414 000
Less Cost of goods sold		215 000
Gross profit		199 000
Less Expenses		
Advertising	26 000	
Wages	62 000	
Printing & stationery	3 560	
Depreciation	7 400	
General expenses	44 500	143 460
Net profit		\$55 540

Garden Hose Equipment Balance sheet at 30 June 2005		
Current assets		
Debtors	47 000	
Stock	81 000	128 000
Non current assets		
Delivery van	37 000	
Less Accum. deprec.	24 400	12 600
		140 600
Current liabilities		
Bank overdraft	11 960	
Creditors	56 000	
	67 960	
Non current liabilities		
Loan	35 000	102 960
		\$37 640
Proprietorship		
Capital	24 100	
Add Profit	55 540	79 640
Less Drawings		42 000
		\$37 640

5 The main source of funding for this business is external – total liabilities \$102 960, capital \$37 640

6 The cash flow situation has worsened during the period – the overdraft has increased and the debtors balance has increased

7 BANK RECONCILIATION

Balance as per records	6 722
Less bank fee	20
	6 702
Add interest	526
Balance as per bank records	\$7 228

4 Records of business Bank Reconciliation statement

Balance as per records	5 786	Balance as per bank statement	5 123
Less bank fee	30	Add deposit not credited	560
	5 756		5 683
Less periodic payment	478	Less unrepresented cheque	
Balance as per bank	5 278	33765	405
		Balance as per records	5 278

5 Records of business Bank Reconciliation statement

Balance as per records	(1 604)	Balance as per bank statement	(3 240)
Add interest 570		Add unrepresented cheques	
Bank fees 134	704	10326	612
Balance as per bank	(2 308)	10378	
		110	
		10399	1 000
		278	
		(4 240)	
		Less deposit not credited	1932
		Balance as per records	(2 308)



9 RECORDING FOR STOCK

Date	Ref	In			Out			Balance		
		Qty	Cost	Total	Qty	Cost	Total	Qty	Cost	Total
1/6	Balance							20	10	200
1/6	Inv 406	30	10	300				50	10	500
2/6	Inv 941				5	10	50	45	10	450
6/6	Inv 946				16	10	160	29	10	290
10/6	Inv 1076				9	10	90	20	10	200
15/6	Inv 425	15	12	180				20	10	200
								15	12	180

6 Sports Jacket

Date	Reference	In			Out			Balance		
		Qty	Cost	Total	Qty	Cost	Total	Qty	Cost	Total
1/5	Balance							5	150	750
2/5	Inv 51567	10	160	1600				5	150	750
								10	160	1600
3/5	Inv 2671				3	150	450	2	150	300
								10	160	1600
4/5	Inv 2674,78,79				2	150	300			
					4	160	640	6	160	960
5/5	Cr note 95	2	160	320				8	160	1280

6 Records of business Bank Reconciliation statement

Balance at beginning	(1 515)	Balance as per statement	(2 408) dr
Add receipts	5 864	Add unrepresented cheques	
	4 349	223	
		689	
Less payments	6 192	224	
		246	935
	(1 843)		3 343
		Less deposit not credited	1 500
		Balance as per records	(1 843)

8 PRICE SETTING

Electricity \$2 400	F	Freight in per item \$2	V
Purchase price per item \$22	V	Wages \$60 000	F
Rent \$12 000	F	Advertising \$45 000	F
Wrapping \$1 per item	V	Customs duty \$2.50 per item	V

Total fixed costs	\$119 400	Total fixed costs if 2000 items sold	\$119 400
Variable cost per item	\$27 50	Total variable costs if 2000 items sold	\$55 000

Contribution margin per plant	\$15.50
Total fixed costs	\$153 100
Breakeven point in units	\$9 878
Revenue at breakeven point	\$296 340

4 Loss of \$13 600

5 Profit of \$1 900

Total fixed costs are \$142 000	T
Variable costs are \$18 per unit	F
Contribution margin per unit is \$22	F
Breakeven point in units is 5917	T
Total revenue at breakeven point + desired profit is \$387 182	T

Variable costs per chair	\$94
Total fixed costs	\$123 000
Contribution margin per chair	\$126
Breakeven point (number of chairs)	\$977
Number of chairs to be sold to earn the desired profit	\$1373–\$1374
Total revenue earned if the desired profit is achieved	\$302 280

Total variable costs for 40 000 toys	\$960 000
Total fixed costs	\$98 000
Selling price per toy	\$28.20
Total revenue if they sell 40 000	\$1 128 000

7 Squash International

Number of racquets sold in May	53	Value of racquets purchased in May	\$1560
Number of racquets returned to supplier in May	3	Value of racquets returned by customers in May	\$250
Value of returns out	\$156	Value of stock on hand on 10 May	\$884
Value of stock on hand on 8 May	\$2460	Cost of goods sold for May	\$2420

10 STOCK TAKING AND ADJUSTMENTS

3 A \$4 800, B \$5 760, C \$3 090, D \$8 240. Total \$21 890

4 No, Yes, Yes, No, Yes, Yes, Yes, Yes, Yes

8

Fancy Novelties	
Trading statement for year ended 30 June 2005	
Credit sales	840 000
Cash sales	21 800
Less Sales returns	
Net sales	
Less cost of goods sold	
Gross profit	
Stock gain	
Adjusted gross profit	

9

Date	Reference	In			Out			Balance		
		Qty	Cost	Total	Qty	Cost	Total	Qty	Cost	Total
30/6	Balance							17	14	238
								25	15	375
30/6	Stock loss				2	14	28	15	14	210
								25	15	375

10

Date	Reference	In			Out			Balance		
		Qty	Cost	Total	Qty	Cost	Total	Qty	Cost	Total
30/6	Balance							45	22	990
								157	24	3768
30/6	Stock gain	2	22	44				47	22	1034
								157	24	3768

11

Date	Number purchased on invoice	Cost price on invoice	Value
30 June	200	\$18	200 × 18 = 3600
26 June	150	\$18	150 × 18 = 2700
24 June	250	\$17	250 × 17 = 4250
21 June	360	\$16	200 × 16 = 3200
			Total – \$13 750

11 JOURNALS FOR TRADING BUSINESSES

4

Date	Details	Rec	Debtor	Cash sales		GST	Sundries	Bank
				Cost	Sales			
1/7	Cash sale	44		100	200	20		220
2/7	D Donaldson	45	460					460
4/7	Interest – ESANDA	46					150	150
7/7	Cash sale	47		230	460	46		506
9/7	F Mitchelson	48	780					780

7

Date	Debtor	Inv	Cost	Cr sale	GST	Total
2/7	D Donaldson	555	400	1000	100	1100
4/7	F Mitchelson	556	300	750	75	825
8/7	J Segan	557	200	500	50	550
9/7	M Sheppard	558	250	625	62.50	687.50

8

1 Credit sales for the month	4 900	7 Amount owed to/by ATO at 31/7	596.50
2 Total sales for the month	6 850	8 Cost of goods sold for month	3 450
3 Total purchases for the month	6 510	9 Debtors at the end of the month	36 740
4 GST collected in July	482.50	10 Creditors at the end of the month	49 662
5 GST paid in July	1 079	11 Gross profit for the month	3 400
6 Bank balance at 31 July	(5 039)		

9 Fine Art Supplies
Cash Receipts Journal

Date	Details	Rec	Debtor	Cash sales		GST	Sundries	Bank
				Cost	Sales			
8/8	Cash sale	89		150	400	40		440
12/8	Sunshine College	871	995					995
21/8	Central Sec School	872	450					450
31/8	Cash sale	90		50	130	13		143
			1445	190	530	53		2028

Cash payments journal

Date	Details	Chq	Creditor	Purchases	Wages	Sundries	GST	Bank
6/8	Nelson Real Estate	3360				3 000	300	3 300
9/8	Paper Products	3361	2 560					2 560
14/8	Ajax Metals	3362		200			20	220
15/8	Wages	3363			4 500			4 500
29/8	Local Press	3364				700	70	770
30/8	Perfect Paints	3365	2 500					2 500
			5 060	200	4 500	3 700	390	15 850

Sales journal

Date	Debtor	Inv	Cost	Cr sale	GST	Total
3/8	Adelaide College	7756	300	900	90	990
10/8	Hobart TAFE	7757	1 100	2 780	278	3 058
25/8	Regional College	7758	1 200	2 600	260	2 860
			2 600	6 280	628	6 908

Purchases journal

Date	Creditor	Inv	Cr Purchases	GST	Total
1/8	AAP	10457	1 300	130	1 430
18/8	Specialty Fabrics	S2109	5 440	544	5 984
			6 740	674	7 414

12 REPORTING FOR TRADING BUSINESSES (1)

2 Fill in the gaps – Sales \$193 600, Cost of Goods sold \$138 800, Stock loss \$1 500.

3 Gross profit ratio – 24.4%

5

Balance sheet at 31 December 2005			
Current assets		Current liabilities	
Bank	25 000	Creditors	55 000
Debtors	50 000	Short term loan	5 000
Stock	65 000		60 000
	140 000	Non current liabilities	
Non current assets		Mortgage	200 000
Motor vehicle	48 000		260 000
Less accumulated depreciation	(12 000)	Proprietorship	
Premises	250 000	Capital	156 000
	286 000	Plus profit	50 000
		Less Drawings	(40 000)
			166 000
	\$426 000		426 000

6 ROI 31%, WCR 2.3:1, Gearing 61%

7

Office Furniture Ltd Profit and loss statement For year ended 30 June 2005		Office Furniture Ltd Balance Sheet at 30 June 2005	
Sales	554 000	Current assets	
Less Sales returns	4 000	Debtors	51 000
Net sales	550 000	Stock	59 000
Less cost of goods sold	225 000	Term deposit	10 000
Gross profit	325 000		120 000
Add stock gain	1 200	Non current assets	
Adjusted gross profit	326 200	Motor vehicle	38 000
Add interest revenue	500	Less accumulated depreciation	14 800
	326 700		23 200
Less expenses			143 200
Advertising	17 800	Current liabilities	
Rent	22 000	Bank	2 950
Motor expenses	9 800	Creditors	41 800
Wages	140 000		44 750
Interest paid	3 150		98 450
Dep. Of MV	7 600	Non current liabilities	
Electricity	3 800	Loan	45 000
Postage & stationery	3 200		53 450
Bank fees	950	Proprietorship	
Office expenses	41 700	Capital	35 850
Repairs & maint.	4 100	Plus profit	72 600
Net profit	\$72 600	Less drawings	(55 000)
			53 450

13 DEPRECIATION

5

	Year 1	Year 2	Year 3	Year 4
Depreciation expense per year	4 000	4 000	4 000	4 000
Acc. depr. at the end of each year	4 000	8 000	12 000	16 000
Car. value at the end of each year	46 000	42 000	38 000	34 000

8a Cost of machine \$830 000

8b Depreciation expense each year \$40 750

8c Non current assets

Machine	830 000
Less Accumulated depreciation	122 250
	<u>707 750</u>

9a Rate for straight-line method 4.9%

9b Rate for reducing-balance method 7.35%

9c Amount of depreciation using reducing-balance method
Year 1 \$61 005, Year 2 \$56 521, Year 3 \$52 367

9d Non current assets

Machine	830 000
Less Accumulated Depreciation	169 893
	<u>660 107</u>

10 Advantages of reducing-balance method – a greater part of the cost of the machine is written off in the early years of the life of the plant, when it is making the greatest contribution to the revenue earning of the business.

14 BALANCE-DAY ADJUSTMENTS

2 Prepaid revenue B, Accrued revenue D, Prepaid expense A, Accrued expense C

4

	a	b	c	d
1	–	Next period, 20 000	Current liability, 20 000	20 000
2	375	–	Current asset, 375	–
3	4 000	Next period, 12 000	Current asset, \$12 000	16 000
4	720	–	Current liability, 720	–
5	–	Last period, 5 000	–	5 000

5 True, False, False, True, False

6

Item	Amount of expense	Item and amount of asset or liability at 30 June 2005	Cash used between 1 July 2004 and 30 June 2005
Rent	\$31 000	Current asset, \$5 000	\$36 000
Motor exp.	\$18 000	Current liability, 2 000	\$16 000
Electricity	\$4 500	Current liability, \$200	\$4 300
Insurance	\$8 000	Current asset, 2 000	\$10 000

7 Effect on accounting equation of adjustment for prepaid insurance – increase assets \$2 000, increase capital \$2 000 (because expense decreased)

8 Overstate profit \$3 500, understate liabilities \$3 500, overstate capital \$3 500

9 Understate profit \$600, understate assets \$600, understate capital \$600

15 REPORTING FOR TRADING BUSINESSES (2)

2

Current assets		Current liabilities	
Prepaid expenses	630	Bank overdraft	7 250
Stock	49 800	Prepaid revenue	12 000
Term deposit – due 6 mths	20 000	Creditors	29 000
Debtors	38 000	Accrued expenses	4 100
Accrued revenue	1 000		52 350
	109 430	Non current liabilities	
Non current assets		Mortgage	200 000
Motor vehicle	45 000		252 350
Less accumulated depreciation	(12 000)	Proprietorship	
Premises	250 000	Capital	128 080
	283 000	Add profit	52 000
		Less drawings	(40 000)
			140 080
	\$392 430		\$392 430

4

Queensland Enterprises Statement of Profit and loss for year ended 30 June 2005		
Sales		428 000
Less sales returns		3 000
Net sales		425 000
Less cost of goods sold		200 000
Gross profit		225 000
Add stock gain		3 300
Adjusted gross profit		228 300
Less expenses		
Advertising	16 000	
Motor vehicle expenses	14 800	
Wages – sales staff	89 300	
Depreciation of display equipment	6 500	
Interest paid	15 000	
Wages – office staff	67 000	
Bank fees	650	
Telephone	3 720	212 970
Net profit		\$15 330

6

Gross Profit Ratio is 53.7%. As industry average is 55%, it is under the industry average but by very little – need to look at selling prices – need to increase these, or find a cheaper supplier.

Net Profit Ratio is 3.6%. As industry average is 12%, it is well below the industry average – needs careful monitoring of expenses which must be out of control as the GPR is near the industry average.

Return on total Assets at 18.9% is above the industry average of 15% and shows that the profit is earned by the effective use of assets.

16 RECORDING FOR PETTY CASH

2

Voucher No 35	Date 15/5
For	Milk and papers
Amount	\$5
Signed	Mary
Authorised	Jessie

Voucher No 36	Date 18/5
For	Fares (\$5), Postage (\$10)
Amount	\$15
Signed	Olaf
Authorised	Jessie

3

Received	Date	Details	Vou	Amount	Fares	Post	Sundries
100	1/6/04	Imprest cheque					
	7/6/04	Joseph O'Reilly	01	25		20	5
	12/6/04	Win Choi	02	40	15	25	
	18/6/04	Guiseppe Falconi	03	17	5		12
	25/6/04	Mark Mercuri	04	14		14	
				96	20	59	17
	30/6/04	Balance c/d		4			
100				100			
4	30/6/04	Balance b/d					
96		Reimbursement cheque					

5

Received	Date	Details	Vou.	Amount	Fares	Post.	Sundries
15	31/5	Balance b/d					
85		Reimbursing chq 9954					
	2/6	J Wilson	86	18			18
	4/6	P Scott	87	25			25
	8/6	J Segan	88	16	5	11	
	9/6	J Summiz	89	20			20
	14/6	G McDonald	90	10		10	
			89	5	21	63	
		Balance c/d		11			
100				100			
11		Balance b/d					
89		Reimbursing chq 10222					

6

petty cash advance, imprest system, voucher, float (advance),
petty cash, petty cash book, reimbursing cheque, imprest

17A Crossword

Across

1. Accrued revenue
4. Allocated cost
7. Discount revenue
9. Stock loss
10. Net profit
16. Unpresented cheque
18. Income
19. Breakeven

Down

2. Creditor
3. Inventory
5. Continuous recording
6. Lead time
8. Prepaid revenues
11. Current assets
12. Petty cash
13. Carrying value
14. Fixed costs
15. Depreciation
17. Bad debts

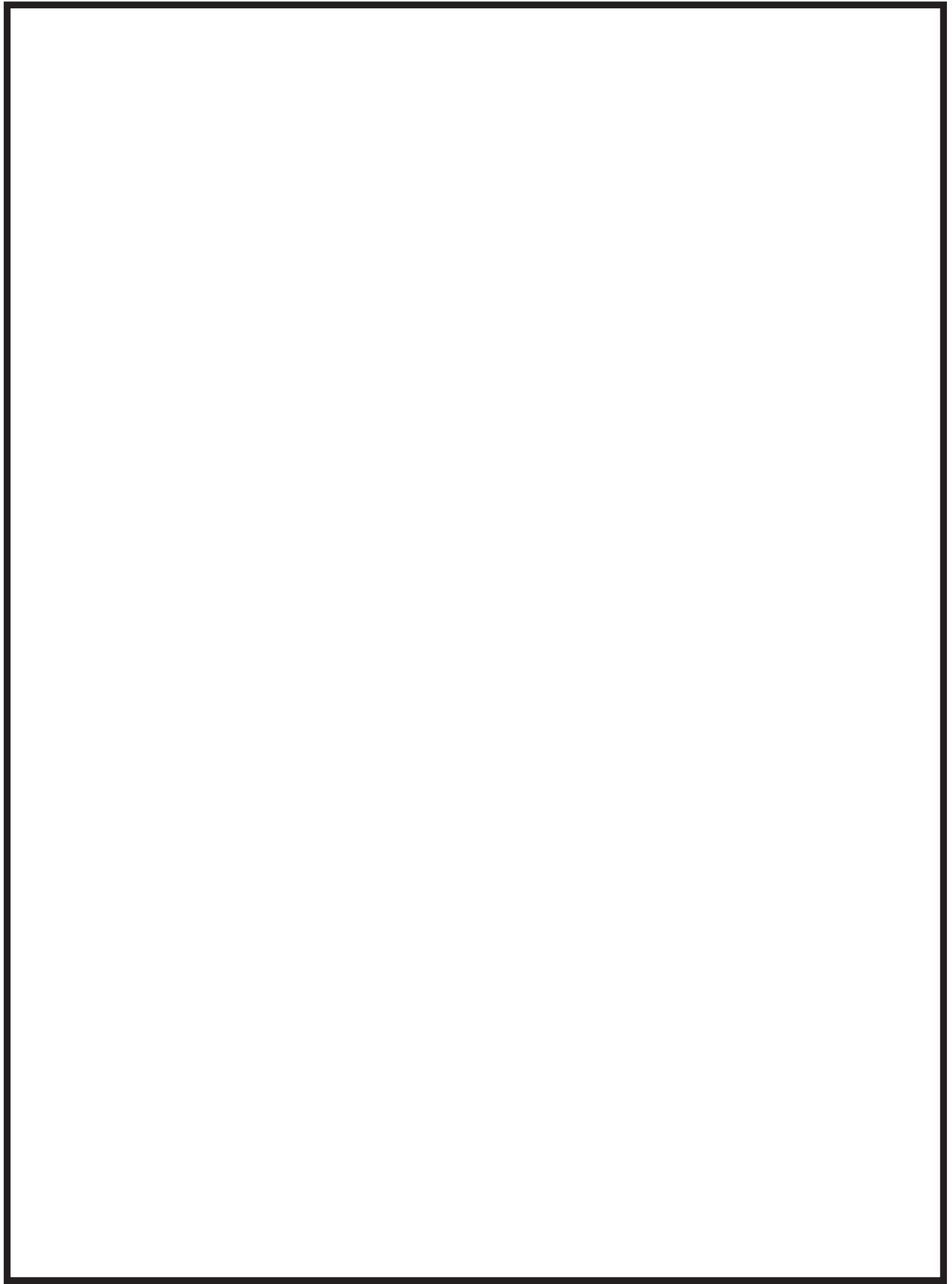
17b Crossword

Across

1. Drawings
6. Receipts
9. Stock card
11. Accrual basis
12. Payments
14. Contribution margin
15. Revenue
16. Accrued expenses
19. Purchases journal
20. Prepaid expenses

Down

2. Gross profit
3. Discount allowed
4. Variable cost
5. Reconciliation
7. Stock take
8. Working capital
10. Liabilities
13. Inventory
17. Debtor
18. Assets



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